

The Market-Perceived Natural Rate of Interest

Georgios Chortareas*	Omar Kaykhusraw [†]	Pierre Siklos [‡]
King's College London	University of Sheffield	Wilfrid Laurier University

Draft paper: 19th September 2026

Click [here](#) for latest version

Abstract

The natural rate of interest (r^*) plays an increasingly central role in monetary policy, yet existing evidence focuses mainly on model-based or central-bank estimates, leaving market assessments largely unexplored. This paper provides novel estimates of the implied natural rate of interest embedded in financial-market survey forecasts, using vintage U.S. data. We document a marked secular decline in the rate inferred from market expectations and identify persistent episodes of misalignment between market beliefs and central-bank benchmarks. We further show that macroeconomic shocks significantly shape revisions in perceived equilibrium real interest rates over time and that forecast errors have implications for financial market stability.

Keywords: survey forecasts, natural rate of interest, monetary policy

JEL classification: C32, E43, E47, E52

*Georgios Chortareas: Department of Economics and Centre for Data Analytics for Finance and Macroeconomics, King's Business School, King's College London, Bush House, 30 Aldwych, London, WC2 B4BG, United Kingdom. Email address: georgios.chortareas@kcl.ac.uk.

[†]Omar Kaykhusraw: School of Economics, University of Sheffield, Elmfield Building, Northumberland Road, Sheffield, S10 2TU, United Kingdom. Email address: o.kaykhusraw@sheffield.ac.uk.

[‡]Pierre Siklos: Lazaridis School of Business and Economics, Wilfrid Laurier University and Balsillie School of International Affairs, 64 University Avenue West, Waterloo, ON N2L 3C7, Canada. Email address: psiklos@wlu.ca.

1 Introduction

The conduct of monetary policy in low-slack environments hinges critically on assessments of the natural rate of interest (r^* or r -star), the real equilibrium interest rate consistent with stable inflation and output at potential. Although precise definitions may vary, this ideal has been a key objective and a central reference point for the conduct and evaluation of monetary policy. Years of below-target inflation, particularly in the United States, followed by recent inflation surges that now show signs of receding, has heightened interest in this topic of late.¹

For the most part, the existing literature has treated the natural rate of interest as a structural object, reflecting the long-run balance between the supply and demand for savings. This conception of r -star features heavily across a wide range of models used to estimate its historical variation. Regardless of the theoretical framework, however, there is a consensus that the equilibrium interest rate has declined across much of the advanced world. For instance, Laubach and Williams (2003) and Holston et al. (2017) design a semi-structural model to extract measures of the natural rate from observed data and find that r -star has fallen by around 450 basis point since the 1960's in the United States. The authors attribute this decline to secular forces, such as changes in the trend growth rate of potential output and shifts in saving and investment preferences.

The historical evolution of the natural rate is commonly associated with several long-run phenomena, such as an ageing population (Carvalho et al., 2016; Eggertsson et al., 2019; Gagnon et al., 2016), declining productivity (Rachel and Smith, 2017), an increasing scarcity of safe assets (Caballero and Farhi, 2018; Del Negro et al., 2017), and shifts in fiscal and institutional arrangements (Rachel and Summers, 2019). These forces have placed persistent downward pressure on a variable that, for many years, was approximated as constant. Given its latent nature, the equilibrium real interest rate, while theoretically central to monetary policy and market stability, is subject to considerable uncertainty. Consequently, both policymakers and private agents are likely operating with imperfect and heterogeneous beliefs regarding its level. Therefore, just as the FOMC publishes its median projections of the natural rate of interest, market participants are also likely to have a range within which they believe the natural rate lies.

¹ 26-week moving averages of news stories from a wide range of sources in Bloomberg's News Trend (NT) function, indicate a steady rise in mentions of the 'natural rate' of interest before a sharp decline during the coronavirus pandemic. Stories mentioning r -star rise and fall once again around the inflation surges in the United States.

Beyond the uncertainty regarding the level of r^* , several studies have developed methods to estimate its evolution using either structural or time-series techniques. Estimates produced by the New York Federal Reserve are perhaps the most widely cited and routinely used by analysts to assess whether the stance of policy is accommodative or restrictive. When the policy rate exceeds r^* , monetary policy is considered contractionary. Conversely, when the policy rate falls below r^* , policy is considered accommodative. More importantly, however, is that the natural rate itself is a ‘known unknown’, which depends on expectations of future inflation and output rather than on historical outcomes, rendering it inherently forward-looking. In this regard, r^* reflects judgments about the evolving state of the economy rather than a strictly fixed benchmark.

It is therefore notable that the existing literature has devoted comparatively less attention to financial market perceptions of r^* . After all, a credible central bank uses the level of the policy rate to signal the stance of monetary policy via implied changes in the natural rate. Yet, financial markets form their own interpretations of the central bank’s stance of monetary policy via the bond market.² Accordingly, one should be able to estimate implied financial market perceptions of the natural rate of interest. Indeed, comparisons with estimates of r^* sourced from central banks would then provide an indication of the extent to which policy makers and financial markets see eye-to-eye about the current stance of monetary policy or whether any differences are within the range of uncertainty associated with these estimates. To the best of our knowledge, this paper is the first to provide model-based estimates of the natural rate as perceived by financial markets. That being said, some studies have reported r^* projections by taking Treasury yields and subtracting estimates of expected inflation (Laubach and Williams, 2016).

The availability of survey-based vintage data, as well as the central role played by the Federal Reserve (Fed) in influencing the stance of monetary policy worldwide, are at least two reasons to estimate the perceived levels of r^* in the United States. Nevertheless, our methodological approach can easily be extended to estimating the natural interest rate for other economies assuming a certain degree of theoretical structure. In this regard, our analysis is primarily conducted within a New Keynesian framework. This approach not only allows for greater comparability with existing and widely cited estimates of the natural rate of interest, but also imposes some discipline in distinguishing market perspectives from the Fed’s views on the degree of policy tightness. In doing

² Similarly, professional forecasters provide independent forecasts of inflation that are likely informed by the inflation target, in addition to other factors such as the history of inflation and their own assessment of the likely evolution of the stance of monetary policy. These forecasts may also impact inflation expectations formed in bond markets.

so, we provide a highly integrable framework for analyzing private sector expectations about the future state of monetary policy, and, by extension, wider macroeconomic stability.

Briefly, our estimates suggest that the financial market-perceived natural rate follows the same downward trend seen in many other published estimates of r^* . More significantly, we identify periods when markets persistently over- or underestimate central bank estimates of the natural rate. The former defines the period prior to the Great Financial Crisis (GFC) of 2008-9, while the latter is a feature of the post GFC sample. Using local projections and VAR techniques, we also examine the impulse responses between the natural rate and market fundamentals; our findings suggest that inflation, output, and policy rate shocks positively impact the natural rate. We also find, via forecast error variance decompositions, that the history of inflation and the federal funds rate accounts for most of the variation in r^* , with increasing persistence over longer horizons. Moreover, historical decompositions reveal considerable variation over time in how these macro-fundamentals explain movements in the natural rate, which is revealing of the changing focus of markets in their collective thinking about why equilibrium rates change over time.

Finally, we examine the impact of forecast errors on financial markets and find that such shocks can influence perceptions of the stance of monetary policy, the dynamics of the yield curve, and financial stability. We reach these conclusions by considering how the addition of key variables the literature has found is reliably linked to financial sector stability and performance, such as the term spread, the price-earnings ratio, or the credit-to-GDP gap, interact with the perceived natural rate. Although our main conclusions are unaffected, the inclusion of financial sector effects upon r^* amplifies our findings based on the standard model used to estimate natural rates. By recovering a market-based measure of the equilibrium real interest rate within a semi-structural framework, this paper contributes to the literature on monetary policy, expectations, and asset pricing. Our findings suggest that misalignments between the market's and the central bank's views of r^* are not merely reducible to measurement noise, but may reflect a systematic feature of the monetary transmission mechanism, with significant implications for policy communication and financial stability.

The rest of this paper is organized as follows. Section 2 briefly reviews the extant literature regarding market perceptions of monetary policy and the natural rate. Section 3 discusses particulars concerning the survey forecast data used in our estimation. Section 4 outlines the framework, implementation, and specification used to estimate the market-forecast natural rate of interest. Section 5 presents and discusses the main findings of our analysis. Finally, Section 6 concludes.

2 Market Perceptions

Existing research on perceptions and monetary policy has largely concerned market expectations about the future of monetary policy and the implications of incomplete information in its transmission (see for instance Blinder et al., 2008; Eusepi and Preston, 2010; Taylor and Williams, 2010; Cogley et al., 2015). More recently, the literature has focused on policy rules, to estimate market-perceived reaction coefficients. For instance, Hamilton et al. (2011) estimate a "market-perceived policy rule" using macroeconomic news - defined as the difference between the data release value and the value expected by the market prior to its release. The authors identify important trends in the perceived parameters of the rule, namely a reduction in the response to output and a growing response to inflation over the long-run. Subsequent work has incorporated forecast data, both survey and individual forecasts, to estimate constant parameter monetary policy rules (see Carvalho and Nechio, 2014; Andrade et al., 2016; Kim and Pruitt, 2017; Jia et al., 2023).

In more recent work, Bauer et al. (2024) conduct a similar exercise using panel data on market forecasts within a time-varying framework. The authors find substantial variation in the perceived time-varying coefficients associated with the output gap and inflation. Perhaps more importantly, this study suggests that market perceptions about monetary policy respond to high-frequency surprises around FOMC announcements. Finally, the authors prove that shifting market perceptions concerning monetary policy have implications for fundamental asset prices and thus, by extension, the real economy - that is contingent on the magnitude of the perceived responsiveness of the Federal Reserve given by the estimated parameters of the monetary policy rule.

Perhaps more relevant to this study, Rungcharoenkitkul and Winkler (2022) implement a canonical new Keynesian model with incomplete information to identify a feedback loop between the central bank and the private sector, in which each underestimates the impact of their decisions regarding the other's understanding of r^* . The authors suggest that such recursion could potentially drive variation in perceptions of the natural rate of interest away from market fundamentals and may explain much of its decline post Great Recession. Finally, Laubach and Williams (2016) analyse the trend in real short-term forward rates constructed from yields on longer-term securities using a range of univariate statistical filters. In doing so, the authors parenthetically measure "market participants' perceptions of the natural rate", so as to demonstrate the limitations of term premia within forward rates and univariate approaches to estimating r^* .

This analysis is less concerned with such thoroughly treated aspects of the existing literature, particularly studies that are largely centered around the policy-maker’s perspective. Instead, we focus our analysis primarily on market perceptions of the natural rate of interest, which are equally as important to the transmission of monetary policy. In doing so, we complement the existing body of literature with an alternative approach to measuring the market’s sentiment toward monetary policy and the long-run equilibrium real interest rate.

3 Survey Data

We begin by describing the details of our survey data set before outlining the techniques we use to estimate the market-perceived natural rate. We collect survey-based forecast data on the nominal short-term (three-month) interest rate, real gross domestic product, and consumer price inflation. We source these forecasts from the Survey of Professional Forecasters (SPF), published by the Federal Reserve Bank of Philadelphia, which is the longest continuously running quarterly survey of macroeconomic expectations in the United States and reports forecasts for each of the three variables entering our measurement equations at a consistent horizon. Our total sample runs from 1981:3 to 2025:4, with estimation beginning in 1982:3 following initialisation.

The SPF is conducted quarterly, with each panellist reporting forecasts for horizons ranging from the current quarter to four quarters ahead. We employ the one-quarter-ahead forecast of each variable throughout, which matches the timing convention of the measurement equations set out in our model and avoids the horizon-smoothing conversions that would otherwise be required to align forecasts reported at different maturities. Since each respondent reports a nowcast alongside the one-quarter-ahead forecast within the same submission, we construct our measure of forecast real output by chaining the within-vintage growth rate implied by these two entries.³ Forecasts of inflation and of the three-month rate are used as reported.⁴

We also collect the individual responses underlying each survey round, from which we construct two further objects. The first is the cross-sectional dispersion of forecasts in each quarter, measured by the interquartile range of the one-quarter-ahead responses for output growth and inflation, which enters the estimation through the dispersion weighting factor κ_t outlined in Section

³ Taking the difference in logs between the one-quarter-ahead forecast and the nowcast of real output within each vintage yields a growth rate that is internally consistent, since both entries are reported against the same base year. Chaining these rates insulates the resulting level series from the periodic rebasing of the national accounts.

⁴ Individual time-series for the one-quarter-ahead survey forecasts are presented in Appendix B.

4. The second is the panel of respondent-level forecasts itself, which allows us to recover a distribution of perceived natural rates across forecasters rather than a single consensus path, and so to assess whether our estimates are representative of the panel or an artefact of aggregation.

Key summary statistics are presented in Table 1. Forecast CPI inflation averages approximately 2.8% over the sample and forecasts of the three-month rate 3.6%, with standard deviations of 1.4 and 2.8 percentage points respectively, reflecting the considerable variation in views concerning short-term nominal interest rates over a period spanning the Volcker disinflation, two decades at or near the effective lower bound, and the post-pandemic inflation surge. Forecast real output growth averages 2.2%, but its distribution is strongly left-skewed, with a minimum of -38.2% and a maximum of 17.6% corresponding to the contraction and rebound of 2020.

3.1 Extreme tail events

Our sample includes the coronavirus pandemic and the inflation surge that followed it, a period we would otherwise have reason to exclude. The pandemic was an extreme-tailed event generating sharp variation in output growth, which may violate the assumption that stochastic innovations are Gaussian in distribution, and the sequence of restrictions imposed over 2020 and 2021 is inconsistent with the assumption that transitory shocks in the Phillips curve are serially uncorrelated. These difficulties are at least as acute in forecast data as in realised data, since expectations of output growth respond sharply to the imposition and relaxation of restrictions, and the uncertainty surrounding estimates of the natural rate over this period is well documented in the existing literature (see Baker et al., 2023; Benigno et al., 2024).

Holston et al. (2023) address this issue along two dimensions, introducing time-varying volatility in the innovations to each measurement equation over the pandemic period, which suppresses the influence of outliers on the maximum likelihood estimates, and adding a persistent but transitory supply shock to the output gap to capture the effect of sequential lockdowns. The second of these adjustments is unavailable to us, since controlling for the variation in forecast output induced by lockdowns would require forecasts of the restrictions themselves. The first, however, has a natural analogue in survey data. Where Holston et al. (2023) estimate the variance scaling as a free parameter over a fixed window, cross-sectional dispersion provides a direct and observable measure of how reliably the consensus forecast summarises a common view in any given quarter. Our methodology exploits this and allows us to retain the pandemic period rather than discard it.

4 The Model

4.1 Framework

This paper adapts the Holston et al. (2017) framework to estimate implied forecasts of the natural rate $E_t r_{t+h}^*$ or $r_{t+h|t}^*$, where subscript $t+h$ represents the horizon of the forecast at t ; we use this notation interchangeably. Given our focus is on the market-perceived natural rate, we preserve the model structure but use survey forecast data for each variable. In particular, we outline the system:

$$\tilde{y}_{t+h|t} = \hat{\alpha}_y(L)\tilde{y}_{t+h|t} + \hat{\alpha}_r(L)\tilde{r}_{t+h|t} + \varepsilon_{\tilde{y},t} \quad (1)$$

$$\pi_{t+h|t} = \hat{\beta}_\pi(L)\pi_{t+h|t} + \hat{\beta}_y(L)\tilde{y}_{t+h|t} + \varepsilon_{\pi,t} \quad (2)$$

$$r_{t+h|t}^* = g_{t+h|t} + z_{t+h|t} \quad (3)$$

$$y_{t+h|t}^* = (L)y_{t+h|t}^* + (L)g_{t+h|t} + \varepsilon_{y^*,t} \quad (4)$$

$$g_{t+h|t} = (L)g_{t+h|t} + \varepsilon_{g,t} \quad (5)$$

$$z_{t+h|t} = (L)z_{t+h|t} + \varepsilon_{z,t} \quad (6)$$

where (1)-(2) are the measurement equations, which are reduced forms of the Investment-Savings (IS) curve and Phillips Curve (PC) that permit shocks to the forecast output gap $\tilde{y}_{t+h|t}$ and forecast inflation $\pi_{t+h|t}$; (3) is the law of motion for the perceived natural rate $r_{t+h|t}^*$ that is a function of the forecast trend growth rate $g_{t+h|t}$; and (4)-(6) are transition equations of the state-space model.⁵

4.2 Adjustment

The Holston et al. (2017) measurement equations assume a measurement error with a fixed covariance $\mathbf{R}$. In our setting the observables are survey forecasts, such that in the presence of sharp disagreement the consensus is a noisier signal of the perceived equilibrium than in quarters where forecasters agree. We therefore make the measurement-error covariance time-varying, scaling it by a dispersion weighting factor $\kappa_t \geq 1$ constructed from the cross-sectional dispersion of the Survey of Professional Forecasters. We outline this adjustment in the notation of Hamilton (1994).

⁵ The law of motion follows directly from the Ramsey growth model, contingent on representative households with a CES utility function and a constant relative risk aversion. In steady state, r^* is a function of the growth rate of per capita consumption and the rate of time preference. We assume forecasts of the natural rate are driven by similar forces.

Formally, the observation equation in the state-space system is:

$$\mathbf{y}_t = \mathbf{A}'\mathbf{x}_t + \mathbf{H}'\boldsymbol{\xi}_t + \mathbf{w}_t, \quad \mathbf{w}_t \sim \mathcal{N}(\mathbf{0}, \mathbf{R}) \quad (7)$$

We replace the observation covariance $\mathbf{R}$ with the time-varying covariance:

$$\mathbf{R}_t = \kappa_t^2 \mathbf{R}, \quad \kappa_t \geq 1 \quad (8)$$

So that in any quarter t the innovation covariance in the Kalman filter becomes:

$$\mathbf{S}_t = \mathbf{H}' \mathbf{P}_{t|t-1} \mathbf{H} + \kappa_t^2 \mathbf{R} \quad (9)$$

where $\mathbf{H}$ is the measurement matrix and $\mathbf{P}_{t|t-1}$ the one-step-ahead state covariance. Since the Kalman gain $\mathbf{K}_t = \mathbf{P}_{t|t-1} \mathbf{H} \mathbf{S}_t^{-1}$ is decreasing in $\mathbf{S}_t$, a value $\kappa_t > 1$ inflates the observation variance, shrinks the gain, and causes the filter to update less on quarter t 's survey forecasts. When $\kappa_t = 1$ the system collapses exactly to the baseline specification.

To construct κ_t , let D_t^y and D_t^π denote the cross-sectional interquartile ranges of the one-quarter-ahead forecasts of output growth and inflation respectively. We form a single scalar per quarter as the geometric mean of the two normalised dispersions:

$$\tilde{\kappa}_t = \sqrt{\frac{D_t^y}{\bar{D}^y} \cdot \frac{D_t^\pi}{\bar{D}^\pi}} \quad (10)$$

where $\bar{D}^y$ and $\bar{D}^\pi$ are the pre-2020 sample means of the dispersion series found in the SPF database, so that $\tilde{\kappa}_t$ is unit-normalised over the pre-pandemic period. We then impose the floor:⁶

$$\kappa_t = \max(\tilde{\kappa}_t, 1) \quad (11)$$

following Holston et al. (2023). The restriction $\kappa_t \geq 1$ ensures that the adjustment can only inflate the observation variance, down-weighting high-disagreement quarters, and can never reduce it below the baseline, which would amount to placing above-baseline weight on low-disagreement quarters. The weighting is therefore unidirectional, damping outliers without allowing the estim-

⁶ Our estimates are largely insensitive to the normalisation window, since the floor at unity means a proportional rescaling of κ_t leaves extreme quarters unchanged. We report estimates under alternative windows in Appendix D.

ation to over-trust quarters of forecaster consensus. The transition dynamics and the deterministic structure of the measurement equations remain unchanged, except for the covariance of the measurement innovations. The key difference from the baseline model is that the measurement-error vector $\varepsilon_t^m = (\varepsilon_{\tilde{y},t}, \varepsilon_{\pi,t})'$ is now heteroskedastic, with a time-varying covariance governed by κ_t :

$$\varepsilon_t^m \sim \mathcal{N}(\mathbf{0}, \kappa_t^2 \mathbf{R}), \quad \mathbf{R} = \begin{bmatrix} \sigma_{\tilde{y}}^2 & 0 \\ 0 & \sigma_{\pi}^2 \end{bmatrix} \quad (12)$$

4.3 Specification

Our specification of the measurement equations of the state-space model is therefore analogous to Holston et al. (2017) in that we impose an identical lag structure in the dynamic Investment Savings (IS) equation and Phillips Curve (PC). This decision is purely to facilitate direct comparability between the implicitly-perceived natural rate and r-star.

In particular, the measurement equations are specified as:

$$\tilde{y}_{t+1|t} = \sum_{j=1}^2 \hat{\alpha}_{y,j} \tilde{y}_{t-j+1|t-j} + \frac{\hat{\alpha}_r}{2} \sum_{j=1}^2 \tilde{r}_{t-j+1|t-j} + \varepsilon_{\tilde{y},t} \quad (13)$$

$$\pi_{t+1|t} = \hat{\beta}_{\pi} \pi_{t|t-1} + \frac{1 - \hat{\beta}_{\pi}}{3} \sum_{j=2}^4 \pi_{t-j+1|t-j} + \hat{\beta}_y \tilde{y}_{t|t-1} + \varepsilon_{\pi,t} \quad (14)$$

where we incorporate two lags of the forecast output gap within the dynamic Investment Savings equation (13), in addition to the average of the first two lags of the forecast real rate gap. Within the Phillips Curve (14), we include the first and the average of the second-to-fourth lag of forecast inflation, in addition to the first lag of the forecast output gap. The law of motion for the forecast natural rate and transition equations are specified as follows:

$$r_{t+1|t}^* = g_{t+1|t} + z_{t+1|t} \quad (15)$$

$$y_{t+1|t}^* = y_{t|t-1}^* + g_{t|t-1} + \varepsilon_{y^*,t}, \quad (16)$$

$$g_{t+1|t} = g_{t|t-1} + \varepsilon_{g,t}, \quad (17)$$

$$z_{t+1|t} = z_{t|t-1} + \varepsilon_{z,t}, \quad (18)$$

4.4 Implementation

Our model is estimated by the three-stage procedure of Holston et al. (2017; 2023), in the state-space notation of Hamilton (1994). Each stage of the model is estimated by maximum likelihood using the prediction-error decomposition with the κ_t -scaled innovation covariance (9),

$$\log L(\boldsymbol{\theta}) = -\frac{1}{2} \sum_{t=1}^T \left[n \log(2\pi) + \log |\mathbf{S}_t(\boldsymbol{\theta})| + \mathbf{u}_t(\boldsymbol{\theta})' \mathbf{S}_t(\boldsymbol{\theta})^{-1} \mathbf{u}_t(\boldsymbol{\theta}) \right], \quad (19)$$

with $n = 2$, so that quarters of high dispersion enter the fit term $\mathbf{u}_t' \mathbf{S}_t^{-1} \mathbf{u}_t$ with reduced weight. Stage I recovers the signal-to-noise ratio $\lambda_g = \sigma_g / \sigma_{y*}$, Stage II recovers $\lambda_z = |\hat{\alpha}_r| \sigma_z / \sigma_{\tilde{y}}$, and Stage III estimates the full system conditional on (λ_g, λ_z) .

The dispersion weighting enters the two median-unbiased estimators asymmetrically. In Stage II it enters explicitly, since the structural-break regression is estimated by weighted least squares with weights $w_t = 1/\kappa_t^2$, so that high-dispersion quarters are discounted in the determination of λ_z exactly as they are in the filter. In Stage I the break statistic is computed on the smoothed potential-output path, which is itself dispersion-aware, but the break regressions are unweighted, so that κ_t influences λ_g only indirectly. Setting $\kappa_t = 1$ for all t reduces the procedure exactly to the unadjusted estimation, so that the adjustment is a strict generalisation of the baseline model, nested at $\kappa_t \equiv 1$. The complete stage-by-stage specification is reported in Appendix A.

5 Results

5.1 Parameter Estimates

The estimated dispersion weighting factor κ_t is presented in Figure 1. Values above unity denote quarters in which forecaster disagreement exceeds its pre-pandemic average, and in which the corresponding observation is down-weighted in the filter. The adjustment is inactive in well over half of the sample, so that for much of the period the model reduces to its unadjusted counterpart. Where the adjustment binds, it does so in known periods of volatility. For instance, disagreement is elevated throughout the first decade of the sample, during which inflation was relatively unstable. It is subsequently bounded at the floor during the 1990s, such that the Great Moderation is estimated with minimal weighting. A further episode accompanies the Great Recession of 2008, where κ_t approaches two, inflating the observation variance by a factor of 4.

The pandemic produces by far the largest shift in the dispersion weighting, with κ_t reaching approximately 4.5 in 2020:2, inflating the observation variance in that quarter by a factor of more than twenty. Values remain above unity through the subsequent inflation surge before returning once again to the floor by 2024. The adjustment does not therefore rescale the sample uniformly; it discounts those quarters in which the consensus forecast is least likely to represent a common view, and leaves the remainder of the sample unaltered.

We summarise the core parameter estimates of the model in Table 2. We employ the benchmark Holston et al. (2023) model to estimate the natural rate of interest (r^*) using realised time series on real gross domestic product, consumer price inflation, and short-run (three-month) interest rates, which we also source exclusively from the Federal Reserve Bank of St. Louis (FRED) database.⁷ Parameter estimates from this model are presented simultaneously in Table 2.

The median-unbiased estimate of λ_g is substantially larger for the forecast model, while λ_z is somewhat smaller. Taken together these indicate that variation in the market-perceived natural rate derives more from revisions to expected trend growth, and correspondingly less from the residual component, than is the case for the benchmark model-implied rate. The forecast output gap entering the Phillips curve and the slope coefficient of the IS curve are relatively closer to the bounds imposed in the estimation than the benchmark model, suggesting neither parameters are sharply pinned down by the data, which accords with the difficulty of identifying these parameters documented throughout the literature. The forecast output gap is nonetheless persistent, as indicated by the cumulative magnitude of $\hat{\alpha}_y$ on its own lags. Finally, it is worth noting that the innovation variances are broadly comparable to those obtained from realised data.

Where the two sets of estimates differ notably is in precision. Average standard errors of the market-perceived natural rate are relatively larger than those of its benchmark model counterpart, which is to be expected given the volatility of expectations concerning the future path of output, inflation and interest rates. Such imprecision is a well known artefact of the literature due to both parameter and filter uncertainty, and our estimates are no exception. As there is no clear resolution to this particular issue, we approach the level of the market-perceived natural rate with caution and place greater weight on its movements, and on its difference from the benchmark rate.

⁷ We re-estimate the model due to our alternative sample size, which in the context of the one-sided and two-sided Kalman filter, resulted in marginal differences in our estimates of the natural rate of interest, potential output, and trend growth rate. We thank the authors for providing their detailed code to enable this replication.

5.2 Market-Perceived Natural Rates

Estimates of the perceived natural rate as implied from survey forecast data are presented in Figure 2. The series peaks in the mid-1980s at close to 4%, falling to around 2% by the early 1990s, and varies marginally over the following fifteen years. It then continues to decline through the financial crisis, reaching its lowest point in 2015 and remaining below its pre-crisis level for the remainder of the sample. Our estimates suggest that the implied equilibrium interest rate has fallen by some 250 basis points over the entire sample.

We present benchmark estimates of the natural rate of interest using realised data alongside our results in Figure 3.⁸ These findings reveal how the long-run trend of the implied natural rate closely resembles that of the natural rate of interest itself. Such persistent pessimism concerning the future level of r^* is in keeping with secular declines in the underlying natural rate of interest itself, attributed in the literature to long-run shifts in productivity, demography, risk preferences and public policy. That market expectations of the natural rate have moved in the same direction and by a comparable magnitude suggests that these underlying developments have been recognised by forecasters, with corresponding implications for the perceived scope of monetary policy.

These trends are largely consistent with alternative survey based measures of the long-run interest rate. For instance, Bauer et al. (2024) highlight a similar decline using Blue Chip Financial Forecast, albeit within the context of the Taylor rule and by extension market perceived fluctuations in the policy rate. Beningo et al. (2024) also identify declines in the perceived natural rate, defined as the difference between the long-run expected policy rate and expected level of inflation, using median responses in the Federal Reserve Bank of New York's Survey of Primary Dealers (SPD). These findings also suggest that markets have persistently reduced their expectations of the natural rate of interest, which seems to corroborate established trends in r -star during this period.

Finally, we note that the implied natural rate of interest is less sensitive to transitory pressures than the natural rate estimated from realised data. The incremental character of these revisions is consistent with the nature of expectations formation in which assessments of slow-moving fundamentals are revised rather than in response to individual observations. The implied natural rate is accordingly smoother than its benchmark counterpart, a property inherited from inputs which are themselves smoother than the realised series on which the latter is estimated.

⁸ Two-sided (smoothed) estimates of the natural rate of interest are presented in Appendix C.

5.3 Heterogeneous Beliefs

Estimates reported thus far are constructed from the mean forecast in each quarter, and therefore describe the perceived natural rate of a representative forecaster rather than the wider distribution from which that average is drawn. If the consensus estimate were an artefact of aggregation, with respondents holding views that bear little relation to the mean, then the misalignments documented above would be a property of the aggregation rather than of market perceptions. The width of the distribution is also informative in its own right, since disagreement about the equilibrium rate is the object that our dispersion weighting exploits, and is therefore useful to observe directly rather than solely through its effect on the filter.

We therefore re-estimate the perceived natural rate separately for each individual respondent to the Survey of Professional Forecasters, retaining those who report a sufficient number of consecutive quarters. We adopt two approaches. In the first, we hold the model parameters at their baseline values and filter each respondent's forecasts through the same system, so that the only source of variation across respondents is the content of their forecasts. In the second, we re-estimate the full three-stage procedure separately for each respondent, so that individuals differ in the parameters governing how forecasts map into an equilibrium rate as well as in the forecasts themselves. Comparing the two isolates the contribution of each channel. The first measures disagreement about the state of the economy, holding the model fixed, while the difference between the two measures the additional dispersion that arises when each respondent is permitted their own model.

Our findings are presented in Figure 4 and 5. Under fixed parameters individual paths cluster closely around the consensus. The majority lie close to the aggregate for most of the sample, and the distribution traces the same secular decline, the same local maxima, and the same post-crisis fall. Dispersion is greatest at either end of the sample, reflecting both genuine disagreement over the disinflation and the smaller number of respondents reporting in the early years. That the spread is modest for most of the period indicates that the secular decline in the perceived natural rate is a property of the distribution of forecasters rather than of its centre alone.

Re-estimating the parameters of the state-space model widens the distribution considerably in the tails. The central mass is comparable to the fixed-parameter case, but a number of individual paths fall below zero in the years after the financial crisis. Since the two exercises share the same forecast data and differ only in whether parameters are re-estimated, this additional dispersion

is largely attributable to parameter heterogeneity. For those respondents whose data imply slope coefficients close to their bound, the implied innovation variance of becomes large and the estimated natural rate can drift far from the consensus. We therefore treat the fixed-parameter estimates as more informative in measuring disagreement about the state of the economy, since they hold the model constant across respondents. The re-estimated version indicates the wider dispersion that arises once respondents are also permitted to differ in the parameters governing their estimates.

5.4 Estimates During the Pandemic

The pandemic presents a difficulty for the estimation of the natural rate of interest; one tempting approach is to omit the period altogether. We therefore compare our dispersion-weighted estimates against two specifications in which the affected observations are excluded from the estimation, the first removing the recession quarters dated by the National Bureau of Economic Research and the second removing the whole of the 2020 calendar year.

The exclusion windows are implemented by setting κ_t to an arbitrarily large value over the affected quarters, which drives the Kalman gain to zero and down-weights those observations from the filter, the smoother, the likelihood and the second-stage regression simultaneously, while leaving the sample timeline contiguous. Our findings are presented in Figure 6, with each exclusion path broken over its respective window.

The choice of window matters considerably. Excluding the full calendar year produces almost no discontinuity, with the series resuming within a few basis points of where it terminates. Excluding the recession quarters alone produces a break of more than a full percentage point, since the shorter window returns the filter to the data in the quarter of reopening and does so with two quarters of accumulated surprise to absorb at once. This is the difficulty that motivates the wider exclusion windows adopted by Holston et al. (2023).

Our own estimates traverse the period without either discarding it or admitting it in full, declining by around twenty basis points over the quarter of reopening before recovering over the following year. Since κ_t exceeds two over these quarters, the observations are down-weighted rather than excluded, and the estimate registers the pandemic without being displaced by it. The dispersion adjustment therefore achieves the same continuity as the wider exclusion window while retaining the observations themselves, and does so on the basis of the disagreement observed in the survey rather than an exclusion window chosen in advance.

5.5 Evidence from Forward Rates

To investigate how these multivariate estimates compare to alternative univariate measures of the forecast natural rate, we make use of forward rates associated with yields on longer-term treasury security bonds sourced from the Federal Reserve of St. Louis (FRED) database. In particular, we compute the difference between the seven-year-ahead zero-coupon one-year yield and the rate of inflation.⁹ To decompose trend component in these rates, we use a range of conventional statistical techniques, namely the band-pass (BP) filter, the Hodrick-Prescott (HP) filter, and the Stock and Watson (2007) unobserved components with stochastic volatility (UCSV) model.

Our findings are presented in Figure 7. Alternative univariate measures using forward rates reveal a more pronounced decline over the sample than our estimates using a multivariate approach, which in contrast exhibits considerably more variation at business-cycle frequencies. This reflects the nature of a semi-structural model that conceives of r^* as a medium-run concept and that separates persistent from transitory movements in the observables. Univariate techniques instead extract the low-frequency component of the real forward rate and are unable to distinguish transitory pressures from movements in the trend. Such techniques perform adequately when inflation and output are relatively stable, but are less reliable over periods in which they are not.

Furthermore, term premia contained within forward rates are often a source of variation that undermine their reliability as a measure of expectations of future rates (Kim and Wright, 2005). Shifts in premia over the period in which the two measures diverge therefore make it difficult to attribute the decline in the filtered forward rate to a revision in perceptions of the equilibrium rate rather than to a change in compensation for duration risk. Survey forecasts are not subject to such contamination, providing further motivation for our approach. Notwithstanding these limitations, univariate measures still yield some indication of market perceptions of the natural rate of interest, whose estimated long-run decline largely corroborates our general findings.

5.6 Market Misalignments

A natural extension of this analysis is to determine the extent to which market participants misperceive the equilibrium interest rate. This information is of use to policymakers, since expectations

⁹ Forward rates are computed using seven year ahead zero coupon one year yield using fitted yields on eight and one year bonds provided by Kim and Wright (2005). These are constructed as follows: $((1 + a/100)^8 / (1 + b/100)^1)^{1/7} - 1$. We then average on a quarterly basis and subtract from the inflation rate to derive a series for the real forward rate.

about the evolution of the natural rate have consequences for the transmission of monetary policy. To achieve this, we simply date the benchmark rate to the quarter to which the forecast refers and compute the difference between the two series. We plot the difference in Figure 8.

Our findings document a number of episodes in which market participants either over-predict or under-predict the equilibrium interest rate. After a brief period of overestimation in the mid-1980s, forecasters underestimate the natural rate for two decades. This gap increases through the late 1990s, reaching roughly 160 basis points around the turn of the century, and then narrows over the following decade, closing shortly before the financial crisis of 2008. Following the crisis, forecasters overestimate the natural rate by as much as 130 basis points, before the two measures closely align from 2015. The pandemic brings a further period of underestimation, followed by a return to alignment towards the end of our sample.

Given our knowledge of market forecasts of the real interest rate, presented in Appendix B.4, periods in which participants overestimate the natural rate of interest after 2008 are predominantly characterised by declining real rate forecasts. Since the benchmark neutral rate falls sharply during the Great Recession, markets therefore judge the prevailing stance to be more accommodative than the data imply. The reverse holds in the mid-to-late 1990s, when markets underestimate the natural rate while expecting positive real rates. As the benchmark rate rises substantially over this period, participants judge policy to be more restrictive than it was.

Widening gaps between these two series are driven primarily by shifts in the natural rate of interest. For instance, the period of underestimation in the late 1990s coincides with the productivity boom, over which realised output growth implied a rising equilibrium rate that market perceptions seem to track poorly. In addition, overestimation in the post-crisis period follows a precipitous and well documented reduction in the natural rate, to which forecasts seem to adjust far more gradually. These findings suggest that whilst market expectations generally move with the underlying natural rate of interest, the response is largely attenuated and confined to its secular path.

5.7 Fundamental Drivers

Market beliefs of the natural rate of interest are likely driven by a wide range of factors. Beyond the equilibrium interest rate, it is reasonable to suggest that market participants base their estimation of the future evolution of r -star on changes in macro fundamentals. In this regard, we investigate how these beliefs respond to shifts in consumer price inflation, real gross domestic product, and

short-term nominal interest rates. We also consider the contribution of the natural rate of interest itself, since changes in the underlying object professional forecasters are implicitly assessing are likely to inform their view of where the equilibrium lies.

To proceed with our analysis, we use local-projection (LP) methods and a vector autoregression (VAR) model to estimate the response of the implied natural rate to shocks in these variables. We adopt this dual approach to verify the robustness of our results due to recent discussions concerning the similarities and differences in population and finite samples between these models (e.g. Plagborg-Møller and Wolf, 2021; Li et al. 2024), particularly in the estimation of impulse response functions. Our approach is also informed by the mixed empirical evidence of stationarity across our series, as presented in Table E.1. Johansen tests nonetheless identify at least one long-run relationship between the market-perceived natural rate, the model-implied rate and the macroeconomic variables, which we unpack further in this section.

For the local projections (LP), we follow the standard approach of Jordà (2005), with optimally chosen lag lengths using the Akaike Information Criteria (AIC). For the vector autoregression (VAR), we identify shocks using a Cholesky decomposition with the order: interest rate, inflation, output, natural rate, and expected natural rate. The justification for this order is somewhat intuitive and assumes that forecasts of r^* are driven by variables in descending exogeneity. Given this system contains two estimated series, we interpret the direction and persistence of the responses rather than their specific point magnitudes.

Estimates of the impulse response function (IRF) for each model are presented in Figures 9-10. Our results from Local-Projections show that unit shocks to output create a positive response in perceptions of the natural rate. We observe a slow decay in the response to output suggesting a high level of persistence. Shocks to consumer price inflation initially generate a positive response in the implied natural rate of interest, although this response declines over longer horizons. As regards shocks in estimates of the equilibrium interest rate itself, we generally observe a positive response in forecasts of r^* , which seems to exhibit some persistence over longer horizons. This implies that market participants revise their expectations of r^* in the same direction as changes in the underlying measure they are forecasting.

In all but magnitude, estimates of the impulse response function from our VAR framework are broadly similar to those estimated using local-projections. To investigate the individual contributions of these fundamentals across time, we compute the historical decomposition of the forecast

natural rate arising from the model, which is presented in Figure 11. Our results suggest that inflation, interest rates, and output play a role in explaining the historical variation in perceptions of the natural rate of interest. The nominal interest rate initially makes the smallest contribution to perceptions of the natural rate. Its contribution increases substantially around the turn of the century and remains sizeable until the financial crisis, before declining thereafter. Output makes a relatively small contribution throughout the sample, although its contribution increases around the pandemic period. Inflation contributes substantially during the 2000s, but its contribution declines sharply following the financial crisis. Notably, the underlying natural rate itself makes its largest contribution in the period immediately following the Great Recession, coinciding with the period in which the natural-rate concept gained considerable prominence in monetary-policy discussions.

5.8 Impact in Financial Markets

Variation in the natural rate of interest is thought to have significant implications for the financial sector (Kiley, 2015; Cukierman, 2016, Taylor and Wieland, 2016). Recent literature has focused on incorporating important financial pressures into estimates of the equilibrium real interest rate. For instance, Akinci et al. (2023) propose the concept of the financial stability interest rate, which reflects the real interest rate consistent with financial, rather than macro stability. Using a macro-financial model with occasionally binding credit constraints, the authors show how real rates affect financial conditions asymmetrically over time. In the short run, interest rate hikes can trigger balance sheet stress via valuation effects, whilst in the medium run, persistently low rates encourage risk-taking and asset reallocation, increasing system vulnerability. These findings imply that monetary policy cannot rely solely on r^* , as the financial stability real rate can embed the market's capacity to absorb shocks. This introduces an important trade-off wherein the real rate that stabilises inflation and output may come at the cost of greater financial fragility.

Reis (2022) argues that conventional measures of r^* relying on long-term government bond yields offers an incomplete view of macro-financial conditions, overlooking the stable or rising return on private capital. Using a cross-country approach, the author shows that whilst government bond yields have declined over the past two decades (suggesting a falling natural rate of interest), returns on private investment have remained constant if not marginally increasing. This divergence implies that financial markets, particularly private investment, operate under an alternative natural rate - one that is not captured by public bond yields. Reis (2022) identifies both financial frictions

and capital misallocation as key factors driving this wedge and warns that relying on bond-based r -star may lead to misleading policy conclusions, particularly regarding investment behaviour.

In related work, Caballero et al. (2025) propose a financial conditions natural analogue to the natural rate of interest, arguing that the stance of monetary policy is more accurately reflected by a broader set of financial variables, than by the policy rate alone. The authors develop a measure of the natural level of financial conditions that would be consistent with output at potential and inflation at target. This rate is shown to be significantly more stable than traditional estimates of the natural rate, particularly during periods of financial stress such as the global financial crisis. Whilst the natural rate declines sharply in response to asset price movements, the natural level of financial conditions remains anchored to macroeconomic fundamentals, indicating that it may offer a more reliable signal for monetary policy. These estimates also closely track optimal policy benchmarks derived from counterfactual simulations, except during major crises.

Given that financial pressures have implications for the natural rate, it is reasonable to assume that variation in expectations of r -star also have meaningful consequences across financial markets. In particular, variation in expectations of the natural rate may influence how market participants interpret central bank decisions, shape yield curves, and affect equity valuations. In this regard, r -star is not merely an outcome of macro-financial forces but an input into the financial sector itself. Understanding this two-way interaction is therefore important to assessing the role of expectations in the transmission of monetary policy. In light of this, we investigate this relationship using local projection methods between our survey-based estimates of the expected equilibrium interest rate and measures of key financial metrics across the bond and equity market.

We source quarterly data on the ten-year two-year treasury term spread from the Federal Reserve Bank of St. Louis (FRED), the price-to-earnings ratio from Shiller (2000), the credit-to-GDP gap from the Bank for International Settlements (BIS), and the Adjusted National Financial Conditions Index (ANFCI) from the Federal Reserve Bank of Chicago.¹⁰ In order to appreciate the general impact of variation in the forecast natural rate of interest, these variables are chosen for their wide coverage of the financial sector, and to also complement the medium- to long-term frequency of our semi-structural estimates. For instance, the price-to-earnings ratio we implement is the cyclically adjusted ratio of stock prices to inflation-adjusted (moving) average earnings,

¹⁰ The price-to-earnings ratio and credit-to-GDP gap both play central roles in a wide range of modern macro-finance models within the existing literature, see, inter alia, Cochrane (2016), Jordà et al. (2017), and Gabaix et al. (2025).

which captures future equity returns over longer horizons than traditional price-earnings measures. The Adjusted National Financial Conditions Index complements these by summarising conditions across money, debt and equity markets in a single measure, purged of variation attributable to the current state of the real economy.¹¹ We also choose to focus on the gap between the market-perceived natural rate of interest and r -star, in order to assess the response of financial markets to forecast errors, decomposing it into its positive and negative components so that the response to underestimation is estimated separately from the response to overestimation.

We find no evidence from Johansen tests of cointegration in this system (refer to Table E.2 for unit root tests). To proceed we use local projection methods to estimate the impulse responses, and present our findings in Figure 12. Innovations here should be understood as misalignment shocks, in which market expectations of r -star fall short of (exceed) the natural rate of interest itself. We define these as periods of implicit underestimation (overestimation) of the future equilibrating real interest rate. We decompose the misalignment into its positive and negative components

$$\tilde{r}_{t+1}^{*e} = \max(\pm (E_t r_{t+1}^* - r_{t+1}^*), 0) \quad (20)$$

since a shock to the gap as a whole carries no direction. A unit innovation is otherwise the same object whether it widens an existing overestimation or underestimation, so that the estimated response averages across two episodes which differ in their content. Estimating these components separately allows each response to be attributed to a direction of misperception.

The four responses are mutually consistent, and describe a loosening of financial conditions following a period of underestimation.¹² The ANFCI declines upon impact and remains significantly negative over the following quarters. Equity valuations rise, with the cyclically adjusted price-to-earnings ratio significantly positive at each horizon. The credit-to-GDP gap also expands steadily over the medium term, and the term spread narrows, though this response is significant in the short-run. Taken together, these estimates describe a market that, believing the natural rate to be lower than it is, reads the prevailing stance of policy as more restrictive than it is, anticipates easing, and accordingly discounts future earnings at a lower rate while borrowing more freely.

¹¹ The Adjusted National Financial Conditions Index is published weekly, which we aggregate to quarterly means. The adjusted series removes variation in financial conditions attributable to contemporaneous output and inflation.

¹² Responses to overestimation are largely the mirror image of those reported here, carrying opposite signs throughout. The two are not of equal magnitude, however, with equity valuations and the credit gap responding more strongly to periods of underestimation and the term spread responding more strongly to periods of overestimation.

These findings demonstrate the impact that misalignments between forecasts of the natural rate and r^* have on financial markets. Our estimates using professional survey forecast data are therefore useful in determining whether financial market participants have been overly optimistic or pessimistic in their judgments about r^* , and the influence this might have on the bond and equity markets within the financial sector. Policymakers must, therefore, also account for expectations of the equilibrium rate in order to avoid compromising financial stability and improve the transmission of monetary policy when responding to price and output instability in the real sector.

6 Conclusion

This paper presents new time-varying estimates of the forecast natural rate of interest using rich time series data of survey forecasts in the United States. We identify a range of important findings on the predictions of market participants about r^* . First, we detect substantial time variation in the expected natural rate of interest. Second, we identify a secular decline in natural rate forecasts across the historical sample, amounting to some 250 basis points, which suggests that forecasters have implicitly become increasingly pessimistic about the future equilibrating interest rate. Given that the natural rate of interest has also been in secular decline, it might be argued that markets are simply responding to trends in the long-run supply and demand for savings that have pressured the natural rate to unprecedented lows.

Third, we document explicit periods when markets either persistently over- or under-predict the natural rate of interest. Forecasters underestimate the natural rate for two decades prior to the financial crisis, with the gap widening through the productivity acceleration of the late 1990s, and overestimate it for the six years following the crisis. The two measures have been closely aligned since. Both episodes coincide with periods in which the natural rate was itself being revised, and in each case market expectations move in the same direction but by a smaller margin, tracking the secular path of the equilibrium rate rather than its shorter-run movements.

Fourth, our analysis shows that innovations in market fundamentals, such as inflation, output, and interest rates, have a clear impact on market perceptions of the future natural rate of interest. The response to innovations in the natural rate itself is the most substantial of these, which builds gradually over several years rather than on impact, which indicates that perceptions converge on the benchmark equilibrium real interest rate slowly and incompletely. It is arguably because this

adjustment is gradual that misalignments between implied perceptions of equilibria and the natural rate of interest of the magnitude and duration we document in this paper are able to arise.

Fifth, we show that implied expectations of the natural rate can play a significant role in shaping financial market outcomes. Using local projection techniques, we document that underestimations of the natural rate of interest trigger systematic responses across key financial indicators. In particular, we find that such forecast errors lead to a loosening of financial conditions, a sustained rise in equity valuations, and an expansion of the credit-to-GDP gap, with the response of the term spread weaker and confined to the shortest horizons. Periods of overestimation carry the opposite sign throughout. These results suggest that forecast misalignments may influence perceptions of the stance of monetary policy, yield curve dynamics, and risks of financial instability.

These conclusions have significant implications for the transmission of monetary policy and wider macroeconomic stability. In particular, they imply that the impact of monetary policy upon the market cannot be fully appreciated without also taking into consideration the perceptions that participants have about the future natural rate of interest. This also opens opportunities for further research, addressing issues such as how central bank communication and conduct influences market perceptions about future monetary policy, and optimal monetary policy design given shifting expectations about the natural rate. We leave such questions to future extensions of this work.

Table 1. Survey Forecast Summary Statistics

	Mean	Std. Dev	Skew	Min	Max	Obs
CPI Inflation	2.79	1.43	-0.20	-2.45	7.60	174
3-Month Interest Rate	3.60	2.78	0.29	0.05	10.24	174
Real GDP Growth	2.24	3.60	-7.81	-38.21	17.64	174

Note: Summary statistics for the Survey of Professional Forecasters data entering the state-space system, from 1982:3 to 2025:4. Consumer price inflation and the three-month interest rate are reported as annual rates; output growth is the quarterly log difference of the chained forecast level series, expressed annually.

Table 2. Parameter Estimates

Parameters	Actual	Forecast
λ_g	0.07	0.14
λ_z	0.02	0.02
$\Sigma\alpha_y$	0.92	0.97
α_r	-0.07 (0.02)	-0.08 (0.02)
β_y	0.06 (0.03)	0.03 (0.01)
$\sigma_{\tilde{y}}$	0.44	0.46
σ_π	0.79	0.80
σ_{y^*}	0.50	0.10
σ_g	0.14	0.10
σ_z	0.13	0.14
σ_{r^*}	0.19	0.14
Average Standard Errors		
r_{avg}^*	1.79	2.54
y_{avg}^*	1.31	1.60
g_{avg}	0.52	0.21

Note: Final stage parameter estimates of the state space system for the United States from 1982:3-2025:4. Average standard errors of the natural rate, potential output, trend growth rate, and their forecast analogues are reported in the last three rows. The standard deviation σ_{r^} is calculated as the square root of $\sigma_g^2 + \sigma_z^2$.*

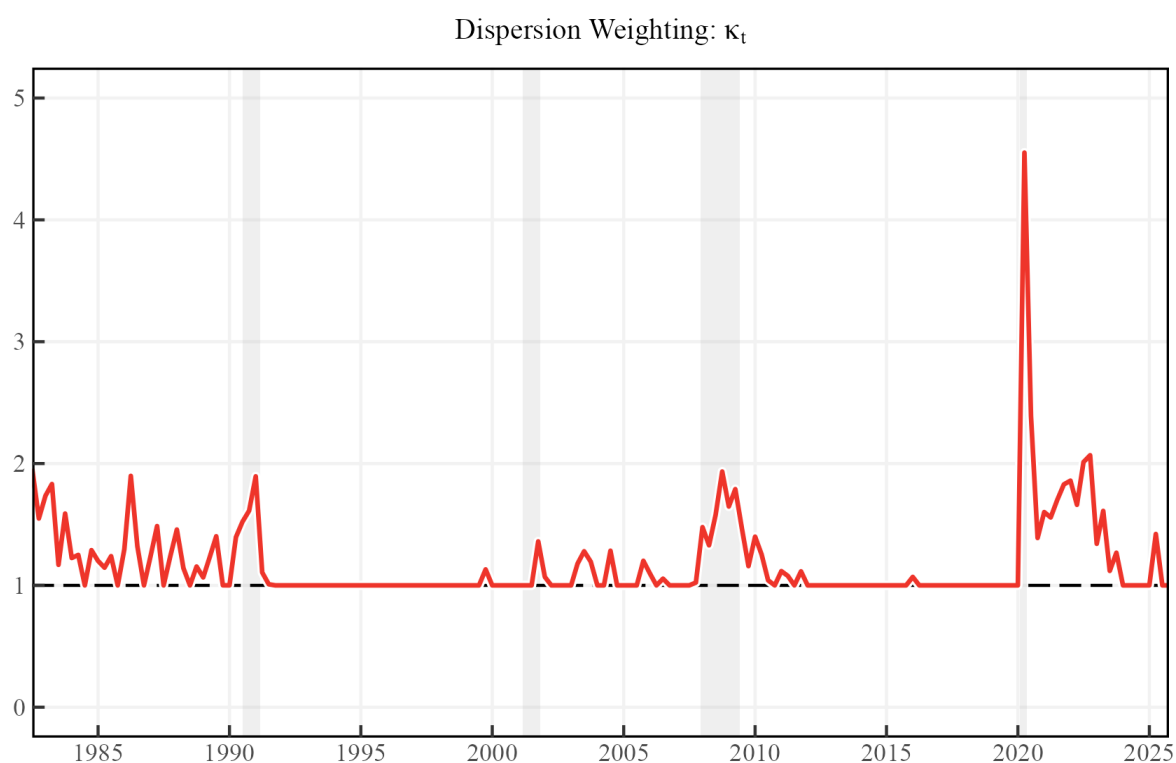


Figure 1. Dispersion Weighting

Note: The dispersion weighting factor κ_t , constructed as the mean of the normalised interquartile ranges of the output and inflation forecasts, floored at unity. Values above unity denote quarters in which forecaster disagreement exceeds its pre-pandemic average and the corresponding observation is down-weighted in the filter. The dashed line marks $\kappa_t = 1$, at which the model reduces to its unadjusted counterpart. Shaded regions in grey denote recessionary periods sourced directly from the National Bureau of Economic Research.

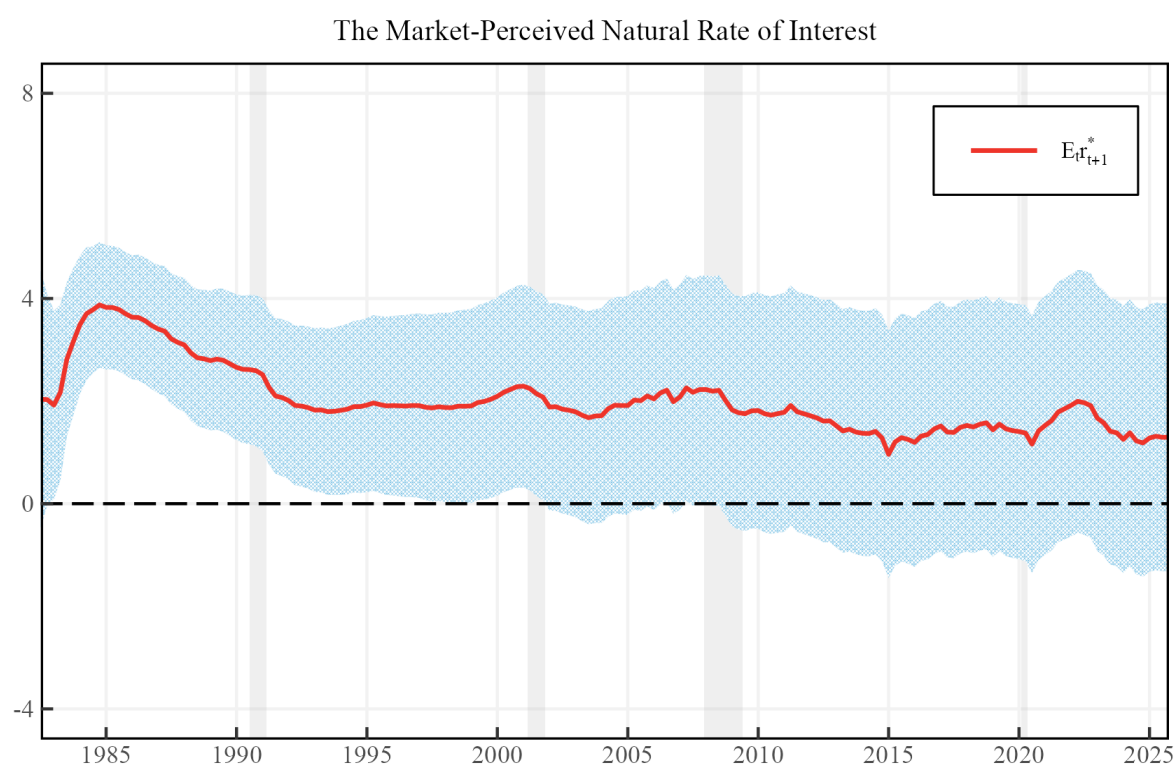


Figure 2. The Market-Perceived Natural Rate of Interest

Note: One-sided Kalman filter estimates of the market-perceived natural rate between 1982:3 and 2025:4. Obtained from applying the dispersion-weighted state-space model to survey forecast data. Shaded regions in blue represent the 90% confidence band.

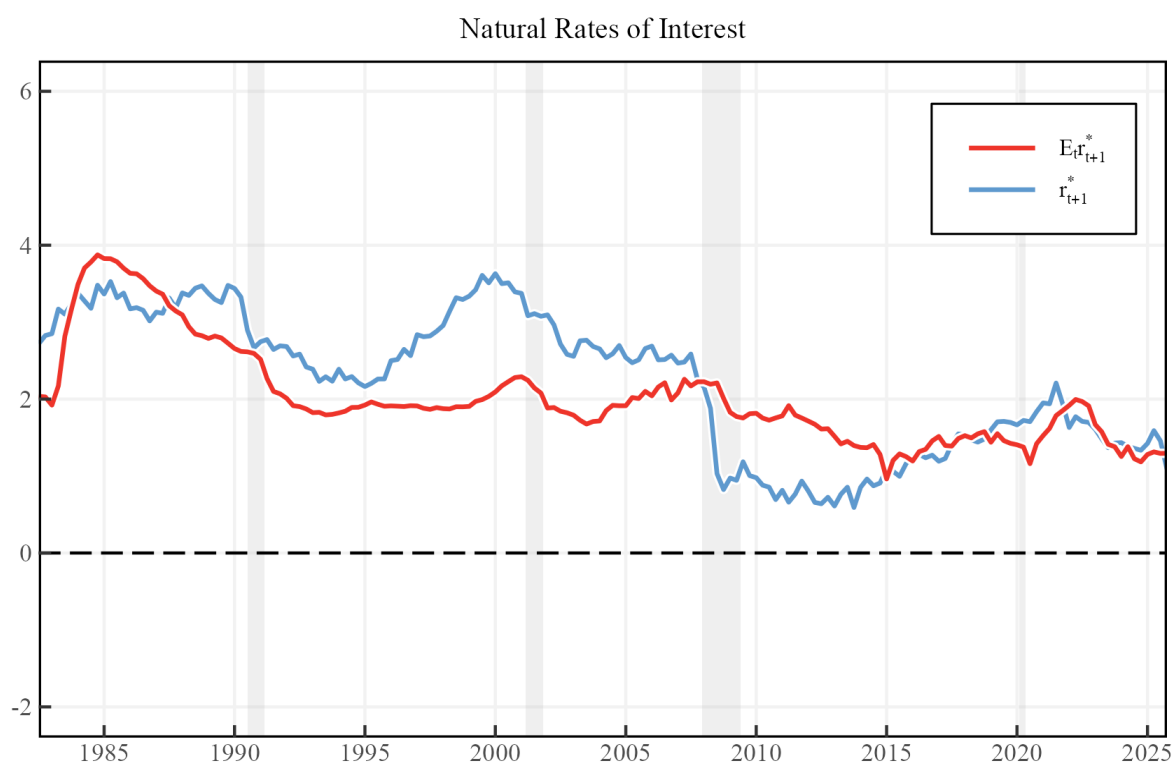


Figure 3. Natural Rates of Interest

Note: One-sided Kalman filter estimates of the market-perceived (red) and benchmark (blue) natural rate of interest from 1982:3 to 2025:4. The former is obtained by applying the dispersion-weighted state-space model to survey forecast data; the latter follows Holston et al. (2017) using realised data, shifted forward one quarter to ensure alignment between series.

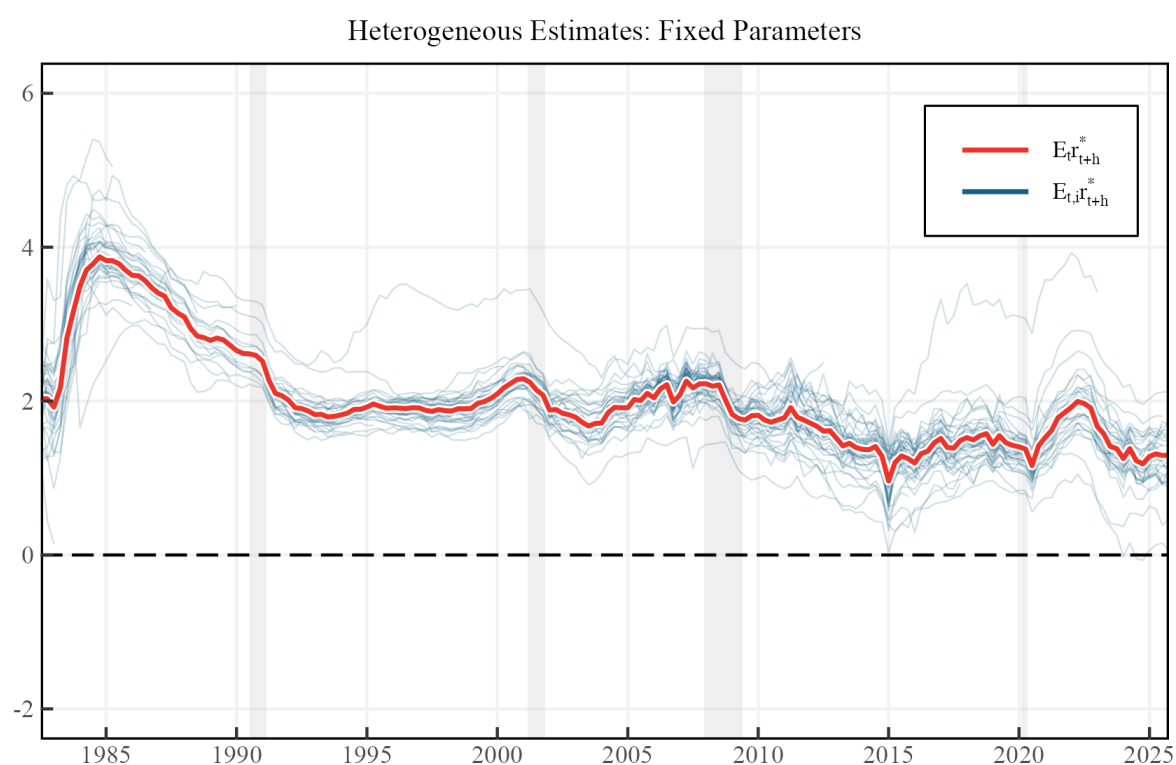


Figure 4. Heterogenous Estimates: Fixed Parameters

Note: One-sided estimates of the perceived natural rate for each individual respondent to the Survey of Professional Forecasters, shown in blue, against the consensus estimate in red. The model parameters are held at baseline values. Individual paths are plotted only over the quarters in which the respondent reports.

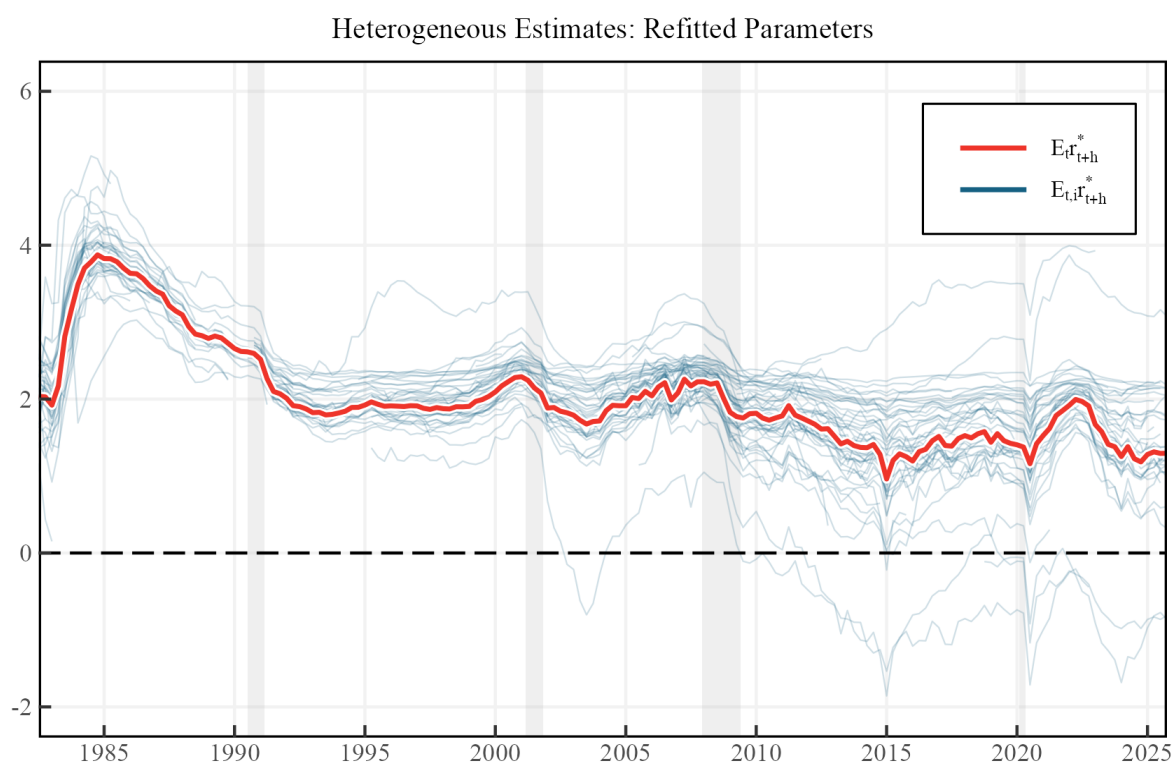


Figure 5. Heterogenous forecasts

Note: One-sided estimates of the perceived natural rate for each individual respondent to the Survey of Professional Forecasters, shown in blue, against the consensus estimate in red. Parameters are re-estimated for each respondent. Individual paths are plotted only over the quarters in which the respondent reports.

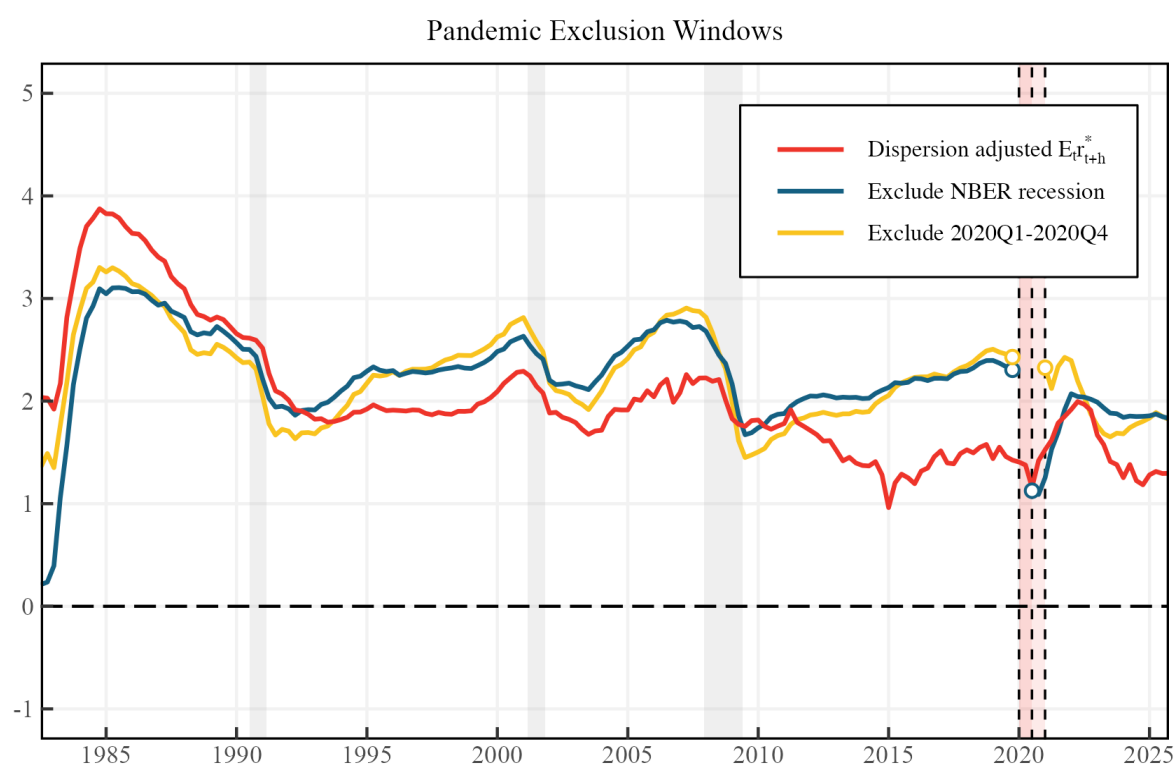


Figure 6. Pandemic Exclusion Windows

Note: One-sided estimates of the market-perceived natural rate under varying exclusion windows. Shaded vertical regions and dashed lines mark the exclusion windows, the narrower corresponding to the recession quarters dated by the NBER (2020:1–2020:2) and the wider to the year 2020. Baseline estimates are red.

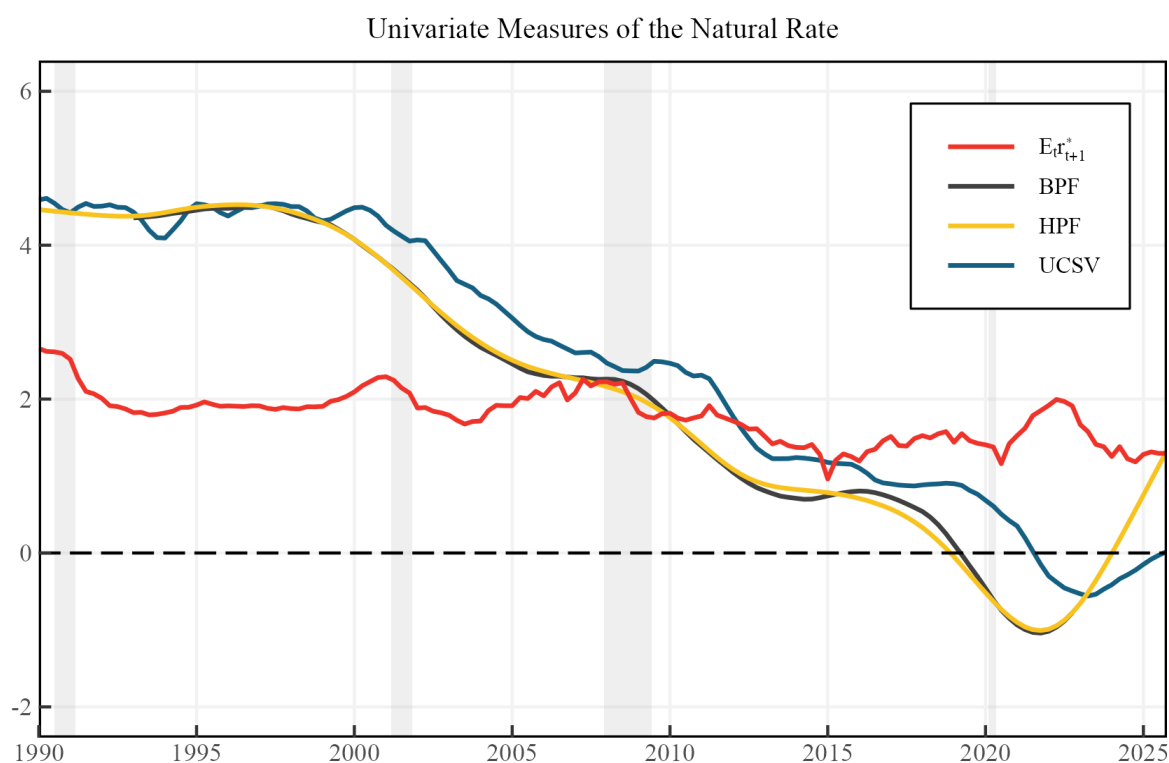


Figure 7. Univariate Measures of the Natural Rate

Note: Alternative univariate measures of the perceived natural rate of interest from 1990:1 to 2025:4. One-sided (multivariate) Kalman filter baseline estimates are presented in red. Band-pass filter (BPF) estimates are presented in black. Hodrick-Prescott filter (HPF) estimates are presented in yellow. Estimates from the unobserved components model with stochastic volatility (UCSV) are presented in blue.

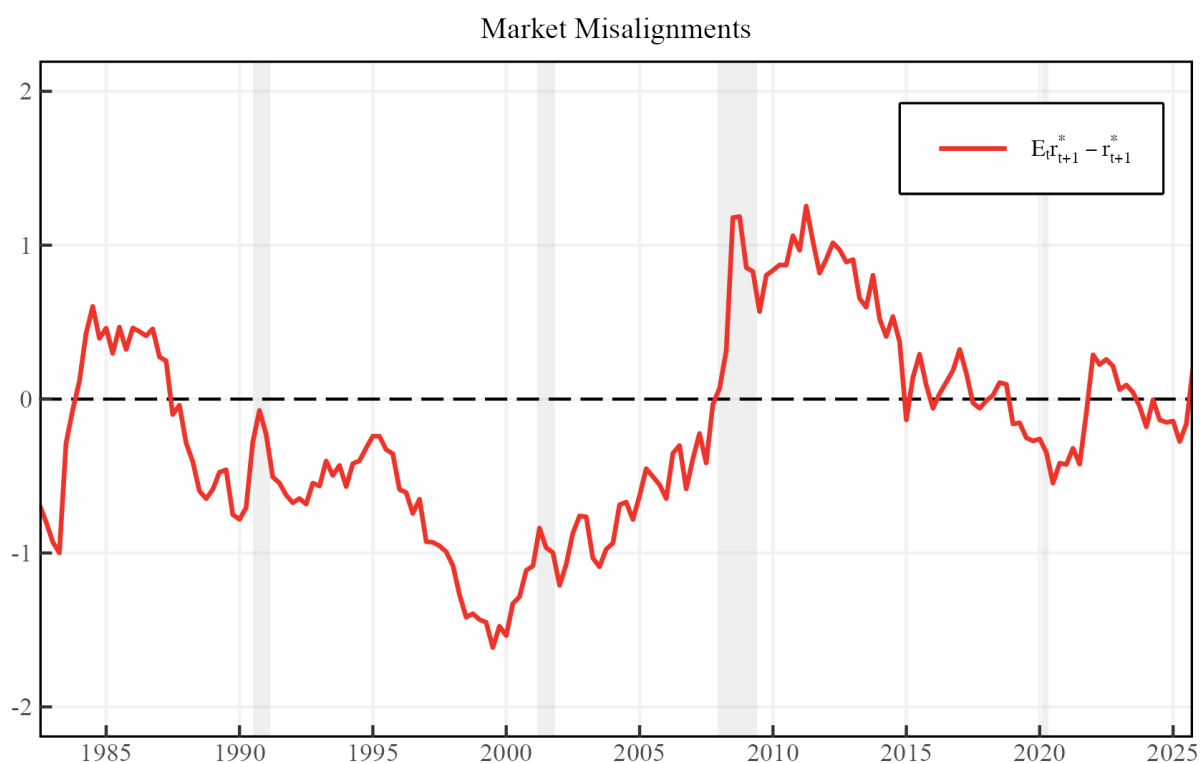


Figure 8. Market Misalignments

Note: Deviations between estimates of the market-perceived natural rate of interest $E_t r_{t+1}^*$ and the natural rate of interest r_{t+1}^* between 1982:3 and 2025:4. Positive values are associated with periods of overestimation, in which $E_t r_{t+1}^* > r_{t+1}^*$, and negative values are associated with periods of underestimation.

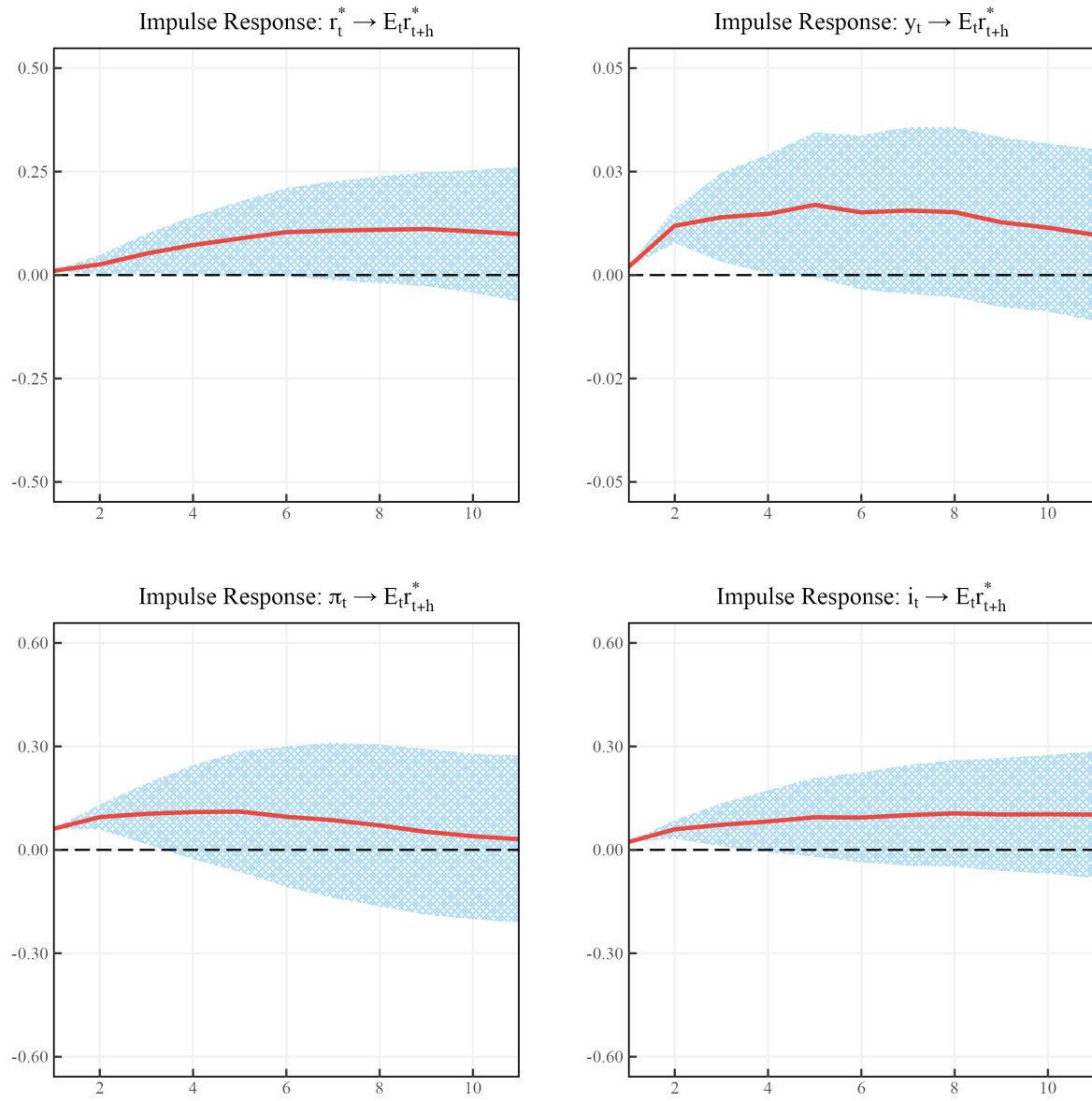


Figure 9. LP Impulse Response Functions

Note: Local projection impulse response functions of a unit innovation in the natural rate of interest r_t^* , real gross domestic product y_t , consumer price inflation π_t , and the short-term (three-month) nominal interest rate i_t , on the perceived natural rate of interest $E_t r_{t+h}^*$. Shaded regions represent the 90% confidence band.

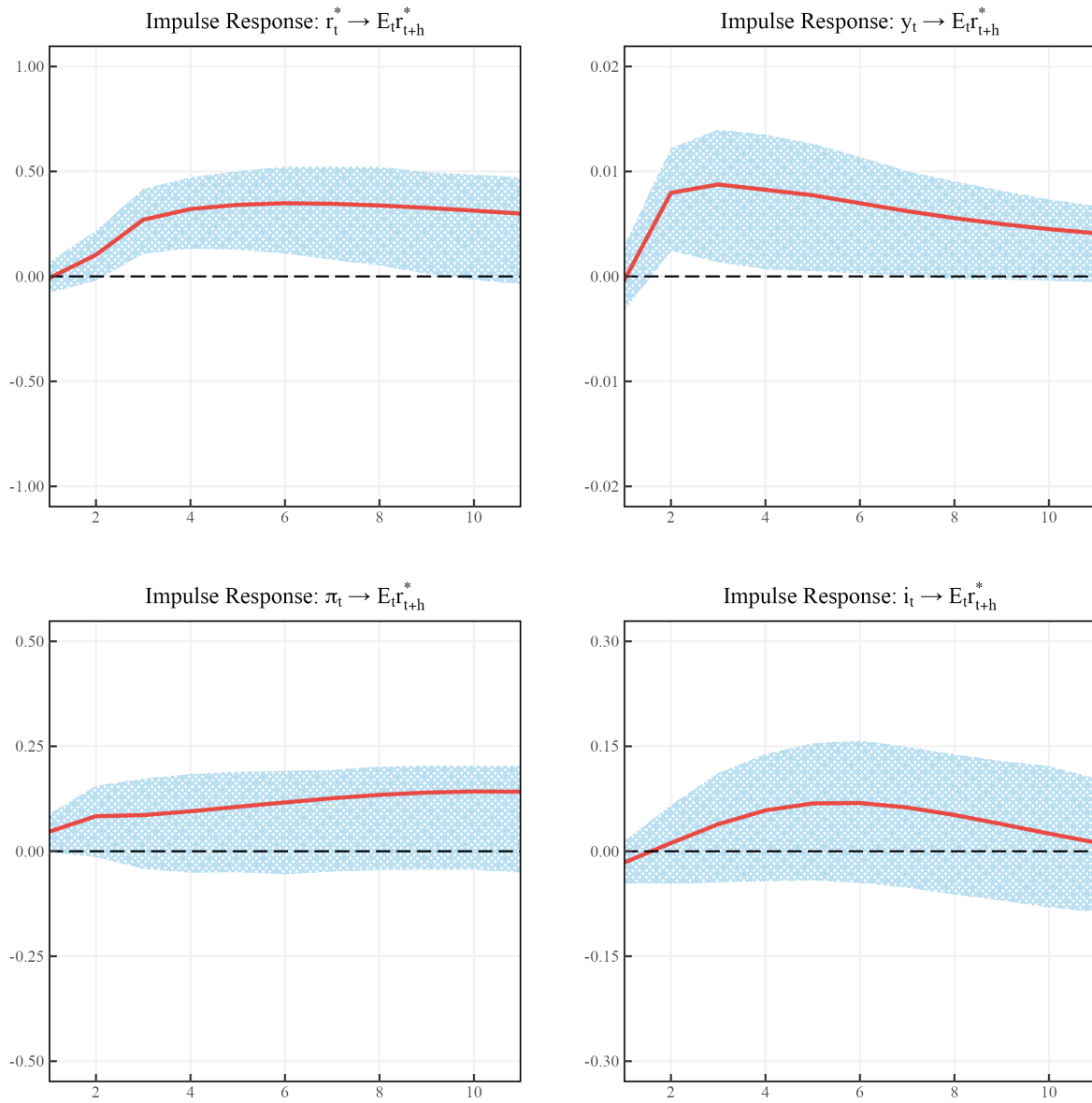


Figure 10. VAR Impulse Response Functions

Note: Vector autoregression impulse responses of an innovation in the natural rate of interest r_t^* , real gross domestic product y_t , consumer price inflation π_t , and the short-term (three-month) nominal interest rate i_t , on the perceived natural rate of interest $E_t r_{t+h}^*$. Shaded regions represent the 90% confidence band.

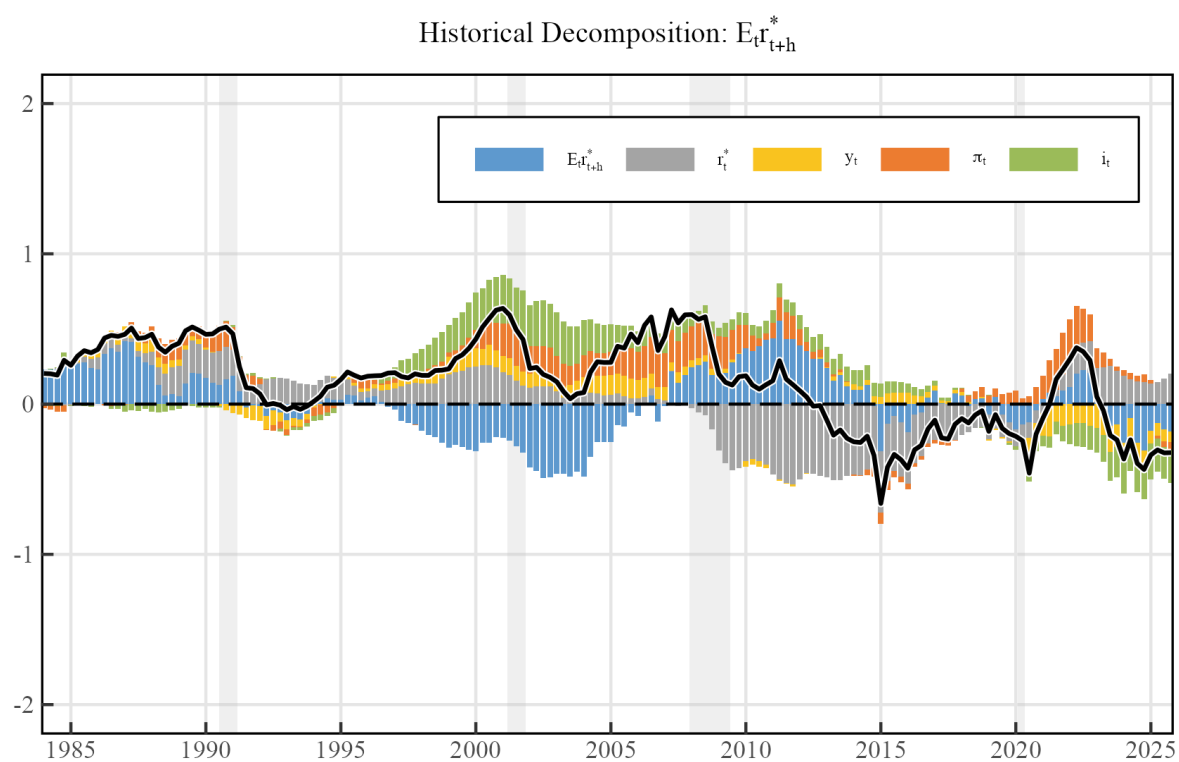


Figure 11. VAR Historical Decomposition

Note: Vector autoregression historical decomposition of the perceived natural rate $E_t r_{t+h}^$ between 1982:3 and 2025:4. Shaded bars are associated with individual contributions of innovations in each variable to the perceived natural rate. The stochastic component to which these shocks aggregate is represented in black.*

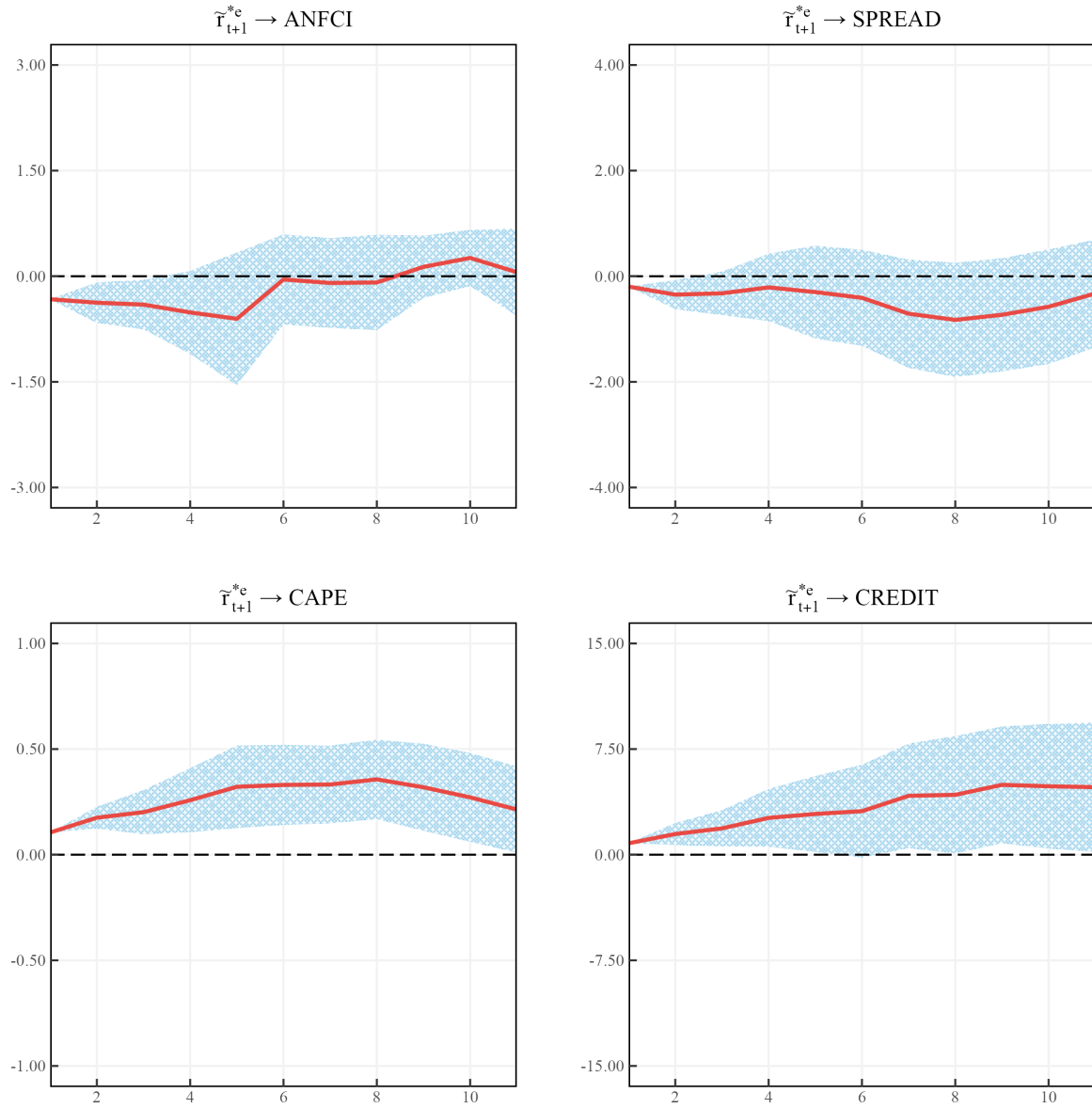


Figure 12. Impulse Response Functions

Note: Local projection impulse response functions of a positive innovation in the underestimation component of the gap between the implied and benchmark natural rate of interest $\tilde{r}_{t+1}^{*e} = \max(r_{t+1}^* - E_t r_{t+1}^*, 0)$, on the Adjusted National Financial Conditions Index (ANFCI), the ten-year two-year treasury term spread (SPREAD), the cyclically adjusted price-to-earnings ratio (CAPE), and the credit-to-gross domestic product gap (CREDIT). The overestimation component is included in the system throughout, and its responses are broadly the mirror image of those reported here. Shaded regions correspond to the 90% confidence band.

References

- Akinci, O., Benigno, G., Del Negro, M. and Queralto, A. (2023) 'The Financial (In)Stability Real Interest Rate, r^{**} ', *Federal Reserve Bank of New York Staff Reports*, 946.
- Andrade, P., Crump, R., Eusepi, S. and Moench, E. (2016). 'Fundamental Disagreement.' *Journal of Monetary Economics*, 83, pp.106-128.
- Baker, K., Casey, L., Del Negro, M., Gleich, A. and Nallamotu, R. (2024) 'The Post-Pandemic r^* ', *Liberity Street Economics*, August 2023, Federal Reserve Bank of New York.
- Bauer, M., Pflueger, C. and Sunderam, A. (2024) 'Perceptions about Monetary Policy', *The Quarterly Journal of Economics*, 139(4), pp.2227-2278.
- Benigno, G., Hofmann, B., Nuo, G. and Sandri, D. (2024) 'Quo vadis, r^* ? The natural rate of interest after the pandemic,' *BIS Quarterly Review*, March, pp.17-30.
- Blinder, A., Ehrmann, M., Fratzscher, M., De Haan, J. and Jansen, D. (2008). 'Central Bank Communication and Monetary Policy: A Survey of Theory and Evidence', *Journal of Economic Literature*, 46(4), pp.910-945.
- Caballero, R.J., Caravello, T. and Simsek, A. (2025) 'FCI-star' *NBER Working Paper*, 33952.
- Caballero, R.J. and Farhi, E. (2018) 'The Safety Trap', *The Review of Economic Studies*, 85(1), pp.223-274.
- Carvalho, C., Ferrero, A. and Nechio, F. (2016). 'Demographics and real interest rates: Inspecting the mechanism', *European Economic Review*, 88, pp.208-226.
- Carvalho, C. and Nechio, F. (2014). 'Do People Understand Monetary Policy?' *Journal of Monetary Economics*, 66, pp.108-123.

- Cochrane, J.H. (2016). 'Macro-Finance', *NBER Working Paper*, 22485.
- Cogley, T., Matthes, C. and Sbordone, A. (2015). 'Optimized Taylor Rules for Disinflation When Agents Are Learning.' *Journal of Monetary Economics*, 72, pp.131-147.
- Cukierman, A. (2016) 'Reflections on the natural Rate of Interest, its Measurement, Monetary Policy and the Zero Lower Bound', *CEPR Discussion Paper*, DP11467.
- Del Negro, M., Giannone, D., Giannoni, M.P., and Tambalotti, A. (2017). 'Safety, Liquidity, and the natural Rate of Interest', *Brookings Papers on Economic Activity*, 2017-812, pp.1-81.
- Eggertsson, G., Mehrotra, N. and Robbins, J. (2019). 'A Model of Secular Stagnation: Theory and Quantitative Evaluation', *American Economic Journal*, 11(1), pp.1-48.
- Eusepi, S. and Preston, B. (2010) 'Central Bank Communication and Expectations Stabilization.' *American Economic Journal: Macroeconomics*, 2(3), pp.235-271.
- Gabaix, X., Koijen R., Mainardi, F., Oh, S.S. and Yogo, M. (2025) 'Limited Risk Transfer Between Investors: A New Benchmark For Macro-Finance Models', *NBER Working Paper*, 33336.
- Gagnon, E., Johannsen, B. and Lopez-Salido, D. (2016). 'Understanding the New Normal: The Role of Demographics', *IMF Economic Review*, 69(2), pp.357-390.
- Hamilton, J., Pruitt, S. and Borger, S. (2011). 'Estimating the Market Perceived Monetary Policy Rule.' *American Economic Journal: Macroeconomics*, 3(3), pp.1-28.
- Holston, K., Laubach, T. and Williams, J. (2017). 'Measuring the natural rate of interest: International trends and determinants', *Journal of International Economics*, 108(1), pp.S59-S75.
- Holston, K., Laubach, T. and Williams, J. (2023). 'Measuring the natural Rate of Interest after COVID-19', Federal Reserve Bank of New York Staff Reports, No.1063.

- Jia, P., Shen, H. and Zheng, S. (2023). ‘Monetary Policy Rules and Opinionated Markets.’ *Economics Letters*, 223, 110995.
- Jordà, Ò. (2005). ‘Estimation and Inference of Impulse Responses by Local Projections’, *American Economic Review*, 95(1), pp.161-182.
- Jordà, Ò., Schularick, M. and Taylor, A. (2017). ‘Macrofinancial History and the New Business Cycle Facts’, *NBER Macroeconomics Annual*, 31(1), pp.213-263.
- Kiley, M.T. (2015). ‘What Can the Data Tell Us About the Equilibrium Real Interest Rate?’, *Finance and Economics Discussion Series*, 2015-077. Washington: Board of Governors of the Federal Reserve System.
- Kim, D. and Wright, J. (2005). ‘An Arbitrage-Free Three-Factor Term Structure Model and the Recent Behavior of Long-Term Yields and Distant-Horizon Forward Rates’, *Finance and Economics Discussion Series*, 2005-33, Federal Reserve Board, Washington, DC.
- Kim, J. and Pruitt, P. (2017). ‘Estimating Monetary Policy Rules When Nominal Interest Rates Are Stuck at Zero.’ *Journal of Money, Credit and Banking*, 49(4), pp.585-602.
- Laubach, T. and Williams, J. (2003). ‘Measuring the natural Rate of Interest’, *The Review of Economics and Statistics*, 85(4), pp.1063-1070.
- Laubach, T. and Williams, J. (2016). ‘Measuring the natural Rate of Interest Redux’, *Business Economics*, 51, pp.57-67.
- Li, D., Plagborg-Møller, M. and Wolf, C.K. (2024). ‘Local projections vs. VARs: Lessons from thousands of DGPs’, *Journal of Econometrics*, 244(2), 105722.
- Plagborg-Møller, M. and Wolf, C.K. (2021). ‘Local Projections and VARs Estimate the Same Impulse Responses’. *Econometrica*, 89, pp.955-980.

- Rachel, L. and Smith, T. (2017). ‘Secular drivers of the global real interest rate’, *International Journal of Central Banking*, 13(3), pp.1-42.
- Rachel, L. and Summers, L. (2019). ‘On Falling Natural Real Rates, Fiscal Policy, and the Risk of Secular Stagnation’, *Brookings Papers on Economic Activity*, Spring 2019.
- Reis, R. (2022). ‘Which R-star: Public Bonds or Private Investment? Measurement and Policy Implications.’ Working Paper, London School of Economics. Available at: <https://personal.lse.ac.uk/reisr/papers/99-ampf.pdf> (Accessed: July 2025).
- Rungcharoenkitkul, P. and Winkler, F. (2022). ‘The natural Rate of Interest Through a Hall of Mirrors’, *Finance and Economics Discussion Series*, 2022-010. Washington: Board of Governors of the Federal Reserve System.
- Shapiro, A. and Wilson, D.J. (2019) ‘The Evolution of the FOMC’s Explicit Inflation Target’, *FRBSF Economic Letter*, 2019-12.
- Shiller, R.J. (2000). *Irrational Exuberance*. Princeton University Press.
- Stock, J. (1994). ‘Unit roots, structural breaks and trends’ in Engle R.F and McFadden D.L. (eds.) *Handbook of Econometrics*. Amsterdam: Elsevier, pp.2739-2841.
- Stock, J. and Watson, M. (1998). ‘Median unbiased estimation of coefficient variance in a time-varying parameter model’, *Journal of American Statistical Association*, 93(441), pp.349-358.
- Stock, J. and Watson, M. (2007). ‘Why has US Inflation Become Harder to Forecast’, *Journal of Money, Credit and Banking*, 39, pp.3-33.
- Summers, L. (2015). ‘Demand Side Secular Stagnation’, *American Economic Review*, 105(5), pp.60-65.

Taylor, J.B. and Wieland, V. (2016). 'Finding the Equilibrium Real Interest Rate in a Fog of Policy Deviations', *Business Economics*, 51, pp.147-154.

Taylor, J.B. and Williams, J. (2010). 'Simple and Robust Rules for Monetary Policy,' in *Handbook of Monetary Economics*, 3, pp.829-859.

Wells, M. (2024) 'The Origins of the 2 Percent Inflation Target', *Econ Focus*, Federal Reserve Bank of Richmond, First / Second Quarter 2024.

APPENDIX

The Market-Perceived Natural Rate of Interest

Georgios Chortareas	Omar Kaykhusraw	Pierre Siklos
King's College London	University of Sheffield	Wilfrid Laurier University

A Model Specification

We estimate the system in the three stages of Holston et al. (2017), in the state-space notation of Hamilton (1994). The observation and state equations are

$$\mathbf{y}_t = \mathbf{A}'\mathbf{x}_t + \mathbf{H}'\boldsymbol{\xi}_t + \mathbf{w}_t, \quad \boldsymbol{\xi}_t = \mathbf{F}\boldsymbol{\xi}_{t-1} + \mathbf{v}_t, \quad \mathbf{w}_t \sim \mathcal{N}(\mathbf{0}, \mathbf{R}_t), \quad \mathbf{v}_t \sim \mathcal{N}(\mathbf{0}, \mathbf{Q}), \quad (21)$$

where the observables are one-quarter-ahead survey forecasts and $\pi_{t-1,3|t-2,4}$ denotes the average of the second through fourth lags of forecast inflation. The dispersion-weighted adjustment makes the observation covariance time-varying,

$$\mathbf{R}_t = \kappa_t^2 \mathbf{R}, \quad \mathbf{R} = \text{diag}(\sigma_{\tilde{y}}^2, \sigma_{\pi}^2), \quad \kappa_t \geq 1, \quad (22)$$

with κ_t constructed from forecaster dispersion as in Section 4. Setting $\kappa_t = 1$ recovers the unadjusted specification. In every stage the log-likelihood is the prediction-error decomposition (19) with the κ_t -scaled innovation covariance $\mathbf{S}_t = \mathbf{H}'\mathbf{P}_{t|t-1}\mathbf{H} + \kappa_t^2 \mathbf{R}$.

Stage I Specification:

$$\mathbf{y}_t = \begin{bmatrix} y_{t+1|t} & \pi_{t+1|t} \end{bmatrix}' \quad \mathbf{x}_t = \begin{bmatrix} y_{t|t-1} & y_{t-1|t-2} & \pi_{t|t-1} & \pi_{t-1,3|t-2,4} \end{bmatrix}'$$

$$\boldsymbol{\xi}_t = \begin{bmatrix} y_{t+1|t}^* & y_{t|t-1}^* & y_{t-1|t-2}^* \end{bmatrix}'$$

$$\mathbf{H}' = \begin{bmatrix} 1 & -\hat{\alpha}_{y,1} & -\hat{\alpha}_{y,2} \\ 0 & -\hat{\beta}_y & 0 \end{bmatrix} \quad \mathbf{A}' = \begin{bmatrix} \hat{\alpha}_{y,1} & \hat{\alpha}_{y,2} & 0 & 0 \\ \hat{\beta}_y & 0 & \hat{\beta}_{\pi} & 1 - \hat{\beta}_{\pi} \end{bmatrix}$$

$$\mathbf{F} = \begin{bmatrix} 1 & 0 & 0 \\ 1 & 0 & 0 \\ 0 & 1 & 0 \end{bmatrix} \quad \mathbf{Q} = \begin{bmatrix} \sigma_{y^*}^2 & 0 & 0 \\ 0 & 0 & 0 \\ 0 & 0 & 0 \end{bmatrix} \quad \mathbf{R}_t = \kappa_t^2 \begin{bmatrix} \sigma_{\tilde{y}}^2 & 0 \\ 0 & \sigma_{\pi}^2 \end{bmatrix}$$

Vector estimated by maximum likelihood:

$$\theta_1 = \begin{bmatrix} \hat{\alpha}_{y,1} & \hat{\alpha}_{y,2} & \hat{\beta}_{\pi} & \hat{\beta}_y & g & \sigma_{\tilde{y}} & \sigma_{\pi} & \sigma_{y^*} \end{bmatrix}$$

The signal-to-noise ratio $\lambda_g = \sigma_g/\sigma_{y^*}$ is obtained from the Stock and Watson (1998) median-unbiased estimator applied to the structural-break statistic of the smoothed forecast potential-output path. The break regressions at this stage are unweighted.

Stage II Specification:

$$\mathbf{y}_t = \begin{bmatrix} y_{t+1|t} & \pi_{t+1|t} \end{bmatrix}' \quad \mathbf{x}_t = \begin{bmatrix} y_{t|t-1} & y_{t-1|t-2} & r_{t|t-1} & r_{t-1|t-2} & \pi_{t|t-1} & \pi_{t-1,3|t-2,4} & 1 \end{bmatrix}'$$

$$\boldsymbol{\xi}_t = \begin{bmatrix} y_{t+1|t}^* & y_{t|t-1}^* & y_{t-1|t-2}^* & g_{t|t-1} \end{bmatrix}'$$

$$\mathbf{H}' = \begin{bmatrix} 1 & -\hat{\alpha}_{y,1} & -\hat{\alpha}_{y,2} & \hat{\alpha}_g \\ 0 & -\hat{\beta}_y & 0 & 0 \end{bmatrix} \quad \mathbf{A}' = \begin{bmatrix} \hat{\alpha}_{y,1} & \hat{\alpha}_{y,2} & \frac{\hat{\alpha}_r}{2} & \frac{\hat{\alpha}_r}{2} & 0 & 0 & \hat{\alpha}_0 \\ \hat{\beta}_y & 0 & 0 & 0 & \hat{\beta}_\pi & 1 - \hat{\beta}_\pi & 0 \end{bmatrix}$$

$$\mathbf{F} = \begin{bmatrix} 1 & 0 & 0 & 1 \\ 1 & 0 & 0 & 0 \\ 0 & 1 & 0 & 0 \\ 0 & 0 & 0 & 1 \end{bmatrix} \quad \mathbf{Q} = \begin{bmatrix} \sigma_{y^*}^2 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & (\lambda_g \sigma_{y^*})^2 \end{bmatrix} \quad \mathbf{R}_t = \kappa_t^2 \begin{bmatrix} \sigma_{\tilde{y}}^2 & 0 \\ 0 & \sigma_\pi^2 \end{bmatrix}$$

Vector estimated by maximum likelihood:

$$\theta_2 = \begin{bmatrix} \hat{\alpha}_{y,1} & \hat{\alpha}_{y,2} & \hat{\alpha}_r & \hat{\alpha}_0 & \hat{\alpha}_g & \hat{\beta}_\pi & \hat{\beta}_y & \sigma_{\tilde{y}} & \sigma_\pi & \sigma_{y^*} \end{bmatrix}$$

The signal-to-noise ratio $\lambda_z = |\hat{\alpha}_r| \sigma_z / \sigma_{\tilde{y}}$ is applied to a structural-break statistic in a regression of the gap-implied residuals on their determinants. The dispersion weighting enters this regression explicitly through weighted least squares with weights $w_t = 1/\kappa_t^2$,

$$\hat{\beta} = (\mathbf{X}'\mathbf{W}\mathbf{X})^{-1} \mathbf{X}'\mathbf{W}\mathbf{y}, \quad \mathbf{W} = \text{diag}(1/\kappa_1^2, \dots, 1/\kappa_T^2), \quad (23)$$

so that high-dispersion quarters receive proportionally less weight in the determination of λ_z .

Stage III Specification:

$$\mathbf{y}_t = \begin{bmatrix} y_{t+1|t} & \pi_{t+1|t} \end{bmatrix}' \quad \mathbf{x}_t = \begin{bmatrix} y_{t|t-1} & y_{t-1|t-2} & r_{t|t-1} & r_{t-1|t-2} & \pi_{t|t-1} & \pi_{t-1,3|t-2,4} \end{bmatrix}'$$

$$\boldsymbol{\xi}_t = \begin{bmatrix} y_{t+1|t}^* & y_{t|t-1}^* & y_{t-1|t-2}^* & g_{t|t-1} & g_{t-1|t-2} & z_{t|t-1} & z_{t-1|t-2} \end{bmatrix}'$$

$$\mathbf{H}' = \begin{bmatrix} 1 & -\hat{\alpha}_{y,1} & -\hat{\alpha}_{y,2} & \frac{-\hat{\alpha}_r}{2} & \frac{-\hat{\alpha}_r}{2} & \frac{-\hat{\alpha}_r}{2} & \frac{-\hat{\alpha}_r}{2} \\ 0 & -\hat{\beta}_y & 0 & 0 & 0 & 0 & 0 \end{bmatrix}$$

$$\mathbf{A}' = \begin{bmatrix} \hat{\alpha}_{y,1} & \hat{\alpha}_{y,2} & \frac{\hat{\alpha}_r}{2} & \frac{\hat{\alpha}_r}{2} & 0 & 0 \\ \hat{\beta}_y & 0 & 0 & 0 & \hat{\beta}_\pi & 1 - \hat{\beta}_\pi \end{bmatrix}$$

$$\mathbf{F} = \begin{bmatrix} 1 & 0 & 0 & 1 & 0 & 0 & 0 \\ 1 & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 1 & 0 & 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 1 & 0 & 0 & 0 \\ 0 & 0 & 0 & 1 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & 1 & 0 \\ 0 & 0 & 0 & 0 & 0 & 1 & 0 \end{bmatrix} \quad \mathbf{Q} = \begin{bmatrix} (1 + \lambda_g^2)\sigma_{y*}^2 & 0 & 0 & (\lambda_g\sigma_{y*})^2 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 \\ (\lambda_g\sigma_{y*})^2 & 0 & 0 & (\lambda_g\sigma_{y*})^2 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & \left(\frac{\lambda_z\sigma_{\tilde{y}}}{\hat{\alpha}_r}\right)^2 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 \end{bmatrix}$$

$$\mathbf{R}_t = \kappa_t^2 \begin{bmatrix} \sigma_{\tilde{y}}^2 & 0 \\ 0 & \sigma_{\pi}^2 \end{bmatrix}$$

Vector estimated by maximum likelihood:

$$\theta_3 = [\hat{\alpha}_{y,1}, \hat{\alpha}_{y,2}, \hat{\alpha}_r, \hat{\beta}_{\pi}, \hat{\beta}_y, \sigma_{\tilde{y}}, \sigma_{\pi}, \sigma_{y*}]$$

The filtered and smoothed states from this stage deliver the one-sided and two-sided estimates of the market-perceived natural rate of interest: $r_{t+1|t}^* = g_{t+1|t} + z_{t+1|t}$.

B Survey Forecast Data

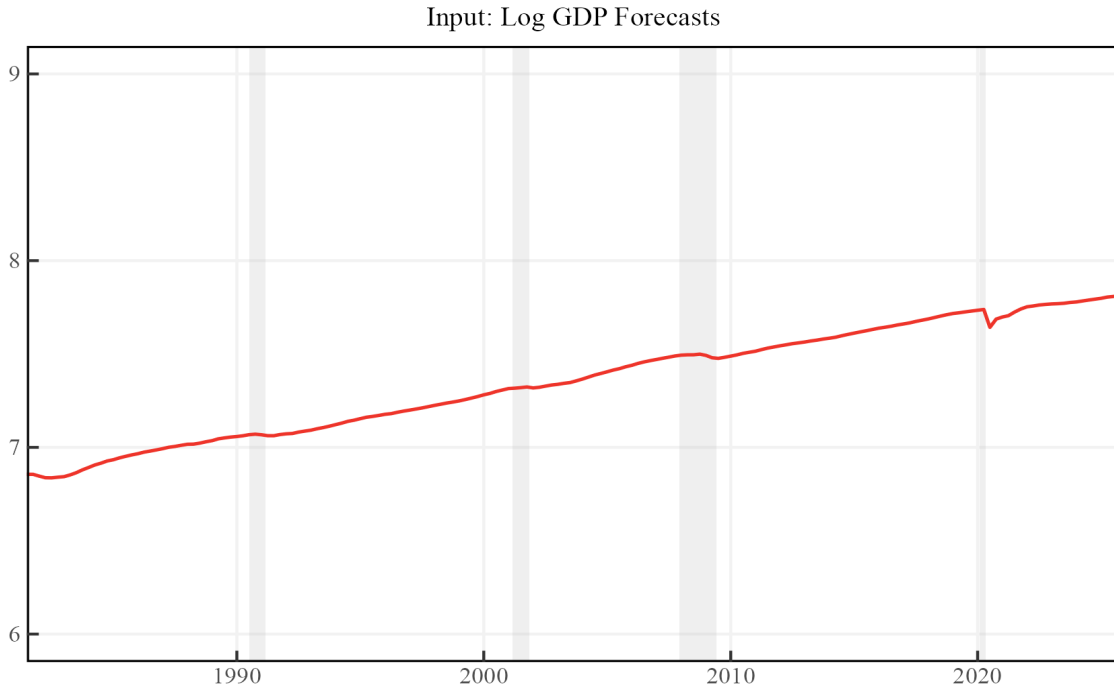


Figure B.1. Log GDP Forecasts, 1981Q1-2025Q4

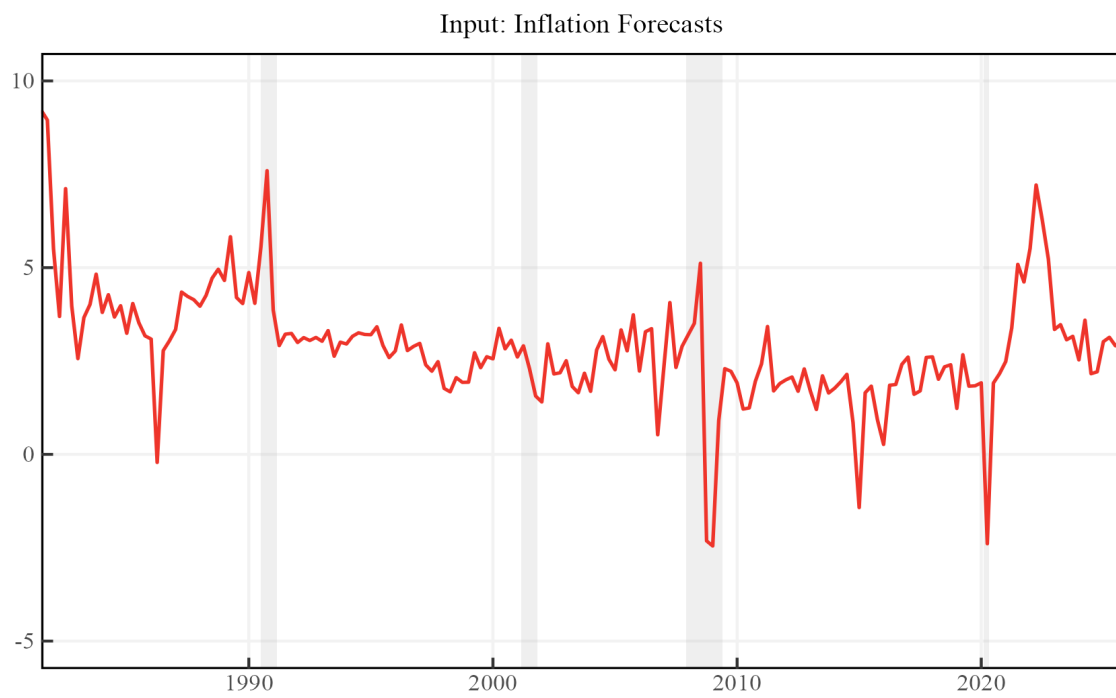


Figure B.2. Inflation Forecasts, 1981Q1-2025Q4

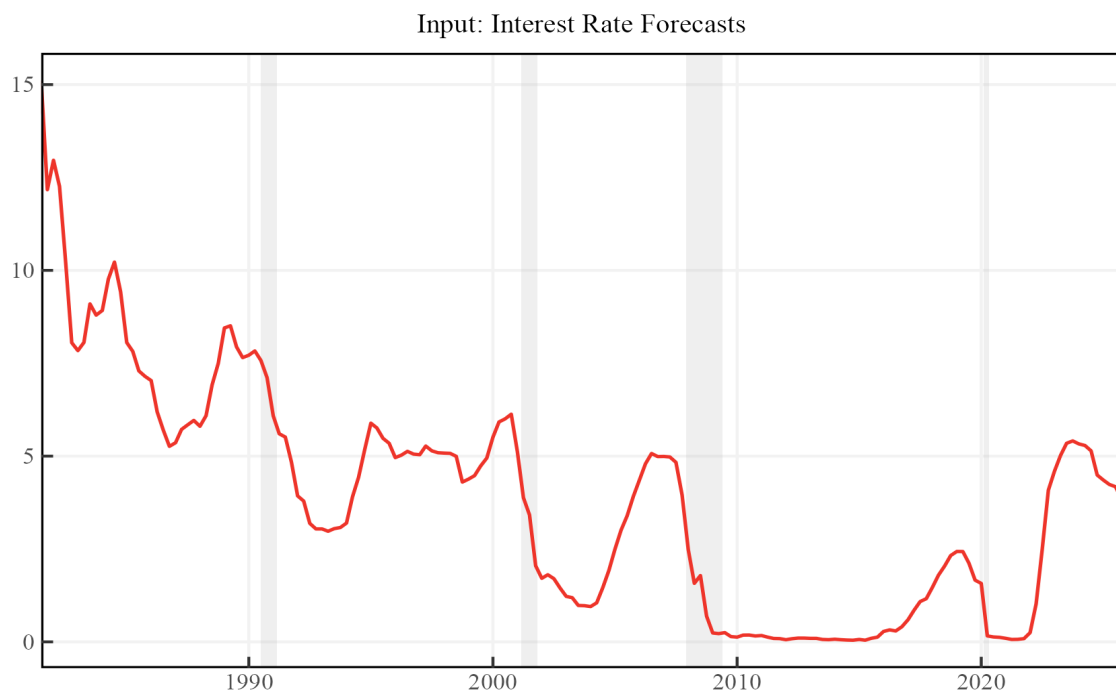


Figure B.3. Interest Rate Forecasts, 1981Q1-2025Q4

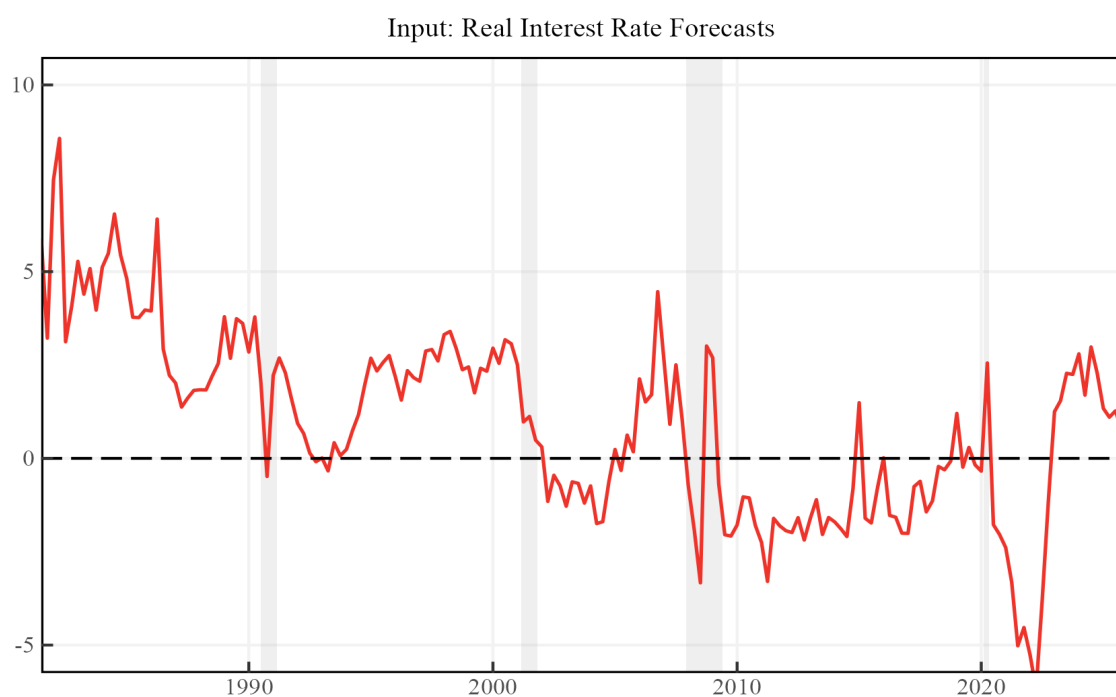


Figure B.4. Real Interest Rate Forecasts, 1981Q1-2025Q4

C Two-sided Estimates

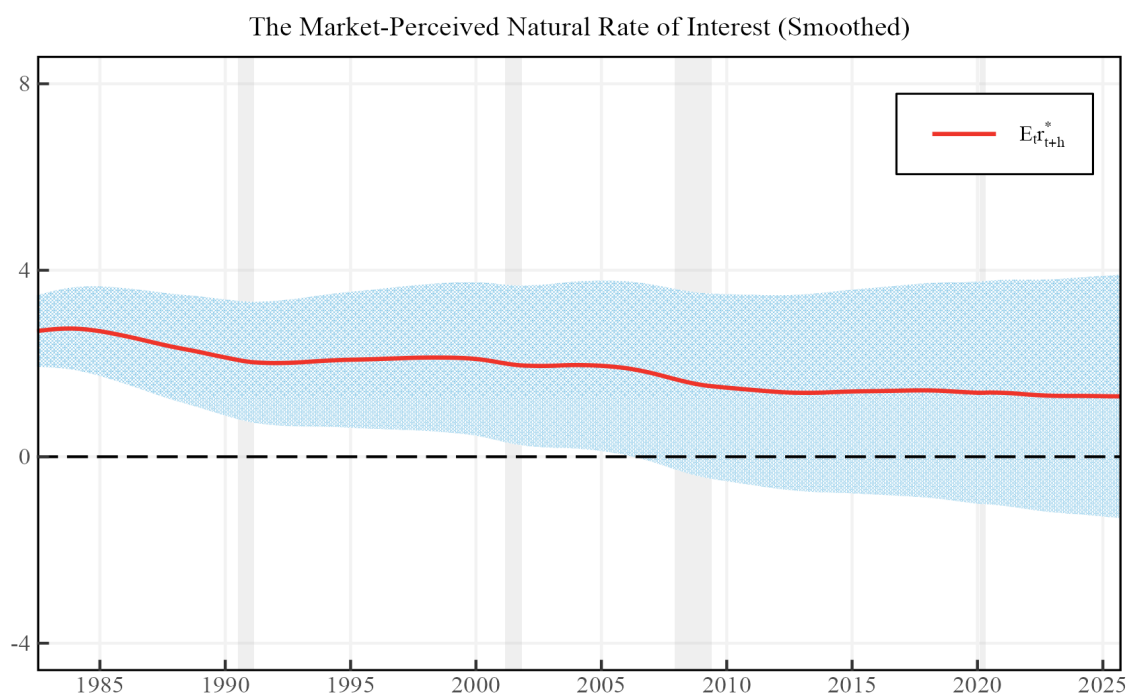


Figure C.1. The Market-Perceived Natural Rate of Interest (Smoothed)

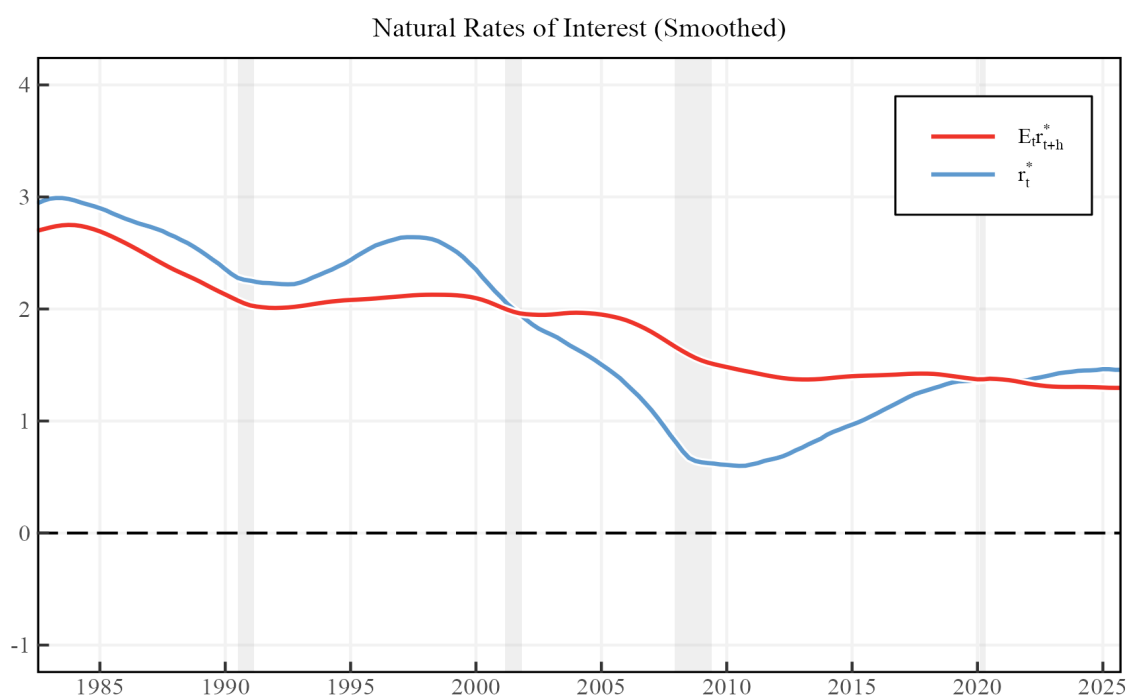


Figure C.2. Natural Rates of Interest (Smoothed)

D Kappa Normalisation

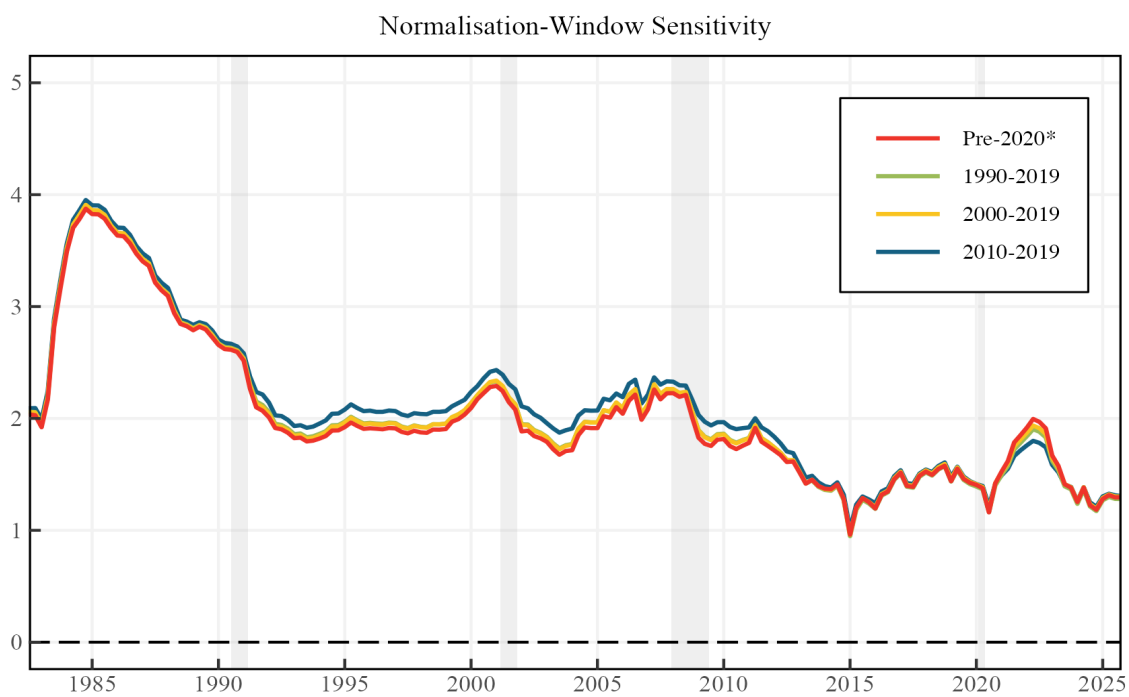


Figure D.1. Normalisation-Window Sensitivity

E Cointegration

Table E.1. Macro Drivers

ADF test (p-value)	y_t	π_t	i_t	r_t^*	$E_t r_{t+h}^*$
Levels	0.01	0.22	0.15	0.64	0.06
First difference	0.01	0.01	0.01	0.01	0.01
VECM, $r = 1$					
Cointegrating vector (S.E.)	-2.72 (0.01)	1.16 (0.03)	-0.64 (0.02)	2.13 (0.05)	1.00 (-)
Error-correction coef (S.E.)	-1.27 (0.13)	-0.00 (0.01)	-0.01 (0.01)	0.01 (0.01)	0.01 (0.00)
Granger lag test (p-value)	0.00	0.01	0.06	0.00	0.10

Note: $n = 174$ observations. ADF tests include a constant and trend with optimal lag length. Cointegrating vector is normalised on the forecast; standard errors from the static regression. Granger tests exclude each variable's lag from a vector autoregression model in levels with optimally selected lags.

Table E.2. Financial variables

ADF test (p-value)	$\tilde{r}_{t+1}^{*e}$	AFNCI	SPREAD	CAPE	CREDIT
None	0.04	0.01	0.04	0.92	0.16
+ Drift	0.31	0.01	0.03	0.23	0.51
+ Trend + Drift	0.53	0.01	0.11	0.38	0.56

Note: $n = 174$ observations.